

**RESTRICTIONS ON CROSS-BORDER
MARKETING AND SELLING OF
FUNDS AND INVESTMENT MANAGEMENT & ADVISORY SERVICES
INTO
COLOMBIA
PART B**

16 July 2026

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1. BACKGROUND

1.1 Introduction

Please refer to the *Instructions to Counsel* that you have been sent in conjunction with this Part B of the Memorandum.

1.2 Structure of Part B

The questions in Part B of the Memorandum are set out in sections 3 to 11. These sections comprise the **Part B Memorandum Subject Matter**.

1.3 Definitions

Active Marketing	Marketing activities which extend beyond Passive Marketing.
Arranging	Making arrangements for another person to buy, sell or subscribe for a Fund or Investment Management & Advisory Services or passing execution instructions to a third party.
Closed-Ended Fund	A Fund with a fixed number of units or shares which does not offer an investor the opportunity to regularly purchase or sell its units or shares.
cross-border	Where: (a) clients, or prospective clients, are located in your jurisdiction; (b) the OFI is headquartered in a jurisdiction different to your own and either has no licensed office in your jurisdiction or is not carrying out the marketing or selling through any licensed office in your jurisdiction; and (c) employees of the OFI are based in a different jurisdiction to your own and are employed by an entity within the OFI group which is headquartered in a different jurisdiction to your own.
Execution of Orders on Behalf of Clients	Agreeing to conclude agreements to buy or sell one or more financial instruments on behalf of clients.
Fly-In Meeting	Employees of the OFI flying into your jurisdiction to carry out marketing activities.
Fly-Out Meeting	Marketing activities which take place offshore and which are directed at a person who is normally resident in your jurisdiction.
Fund	A collective investment undertaking, with or without legal personality, which raises capital from a number of investors with a view to investing it in accordance with a defined investment policy for the benefit of those investors. For the purposes of this Memorandum, local counsel has been instructed to assume that all Funds are offshore.
Investment Advice	The provision of personal recommendations to a client, either upon its request or at the initiative of the OFI, in respect of one or more transactions relating to financial instruments.
Investment Management & Advisory Services	Investment Advice, Arranging, Portfolio Management and Execution of Orders on Behalf of Clients.
OFI	A bank, asset manager or other offshore financial institution e.g. distributor, which is marketing or providing financial products or services and is

headquartered in a different jurisdiction to your jurisdiction.

Open-Ended Fund

A Fund with or without legal personality which offers an investor the opportunity to regularly purchase or sell its units or shares.

Part B Memorandum Subject Matter

The contents of sections 3 to 11 of Part B of this Memorandum.

Passive Marketing

Marketing or selling following an unsolicited approach by an investor. May also be known as “reverse-enquiry” or “reverse-solicitation”.

Portfolio Management

Managing portfolios in accordance with mandates given by clients on a discretionary client-by-client basis where such portfolios include one or more financial instruments.

Segregated Managed Account

A contractual arrangement between an investment manager and investor where the investment manager makes discretionary investments into financial instruments or assets through an account owned by the investor.

Single Investor Vehicle

A vehicle, which makes investments into financial instruments or assets and which is prevented by national law, the rules or instruments of incorporation, or any other provision or arrangement of binding legal effect, from raising capital from more than one investor.

UCITS Fund

A Fund which qualifies as an undertaking for collective investment in transferable securities under the UCITS IV Directive (2009/65/EC) and which has been authorised as such in an EEA Member State.

1.4 Executive Summary

Marketing Funds via PPR or to the public

Active Marketing/selling of a Fund by an OFI on a cross-border basis to investors in Colombia is caught by the Colombian Offshore Marketing Regime and is only permitted where the OFI either: (i) sets up a Representative Office in Colombia or, (ii) enters into a Correspondent Agreement with a local stockbroker dealer firm or a local financial corporation unless the Certain Entities Exemption applies. In practice, the Certain Entities Exemption is quite limited in scope. Both of the Correspondent Agreement and Representative Office options require prior authorization of the arrangement from the SFC, although there is no need to set up a permanent local presence in either case.

In addition, when marketing/selling participation units in a Fund (which are deemed Securities) to an undetermined number of persons or to 100 or more persons, the OFI is also required to comply with the Public Offering of Securities Restriction unless the Private Offering Exemption applies. This is the only exemption to the Public Offering of Securities Restriction and applies regardless of the type of investor.

Passive Marketing of a Fund is permitted pursuant to the Reverse Enquiry Exemption which applies regardless of the type of investor. This is an exemption from the Colombian Offshore Marketing Regime only and therefore the Passive Marketing would need to be structured so as to also fall within the Private Offering Exemption so as to avoid triggering the Public Offering of Securities Restriction.

Investment Management & Advisory Services (IMAS)

Active Marketing/provision of IMAS by an OFI on a cross-border basis to investors in Colombia is caught by the Colombian Offshore Marketing Regime and is only permitted where the OFI either (i) sets up a Representative Office in Colombia or, (ii) enters into a Correspondent Agreement (to the extent that the IMAS relates to Securities Market Products or Services) unless the Certain Entities Exemption applies. Due to the limitations on the permitted activities of a Representative Office; a local stockbroker-dealer and a local financial corporation via a Correspondent Agreement, provision of IMAS can only be carried out by the OFI.

Passive Marketing of IMAS is permitted pursuant to the Reverse Enquiry Exemption which applies regardless of the type of investor. Note that IMAS related to Securities registered in the RNVE or regarding foreign securities listed on a Colombian exchange can only be marketed or offered by a local licensed securities intermediary pursuant to the Local Securities Restriction. Where this restriction applies, the Colombian Offshore Marketing Regime will not apply.

Segregated managed accounts, single investor vehicles and family office undertakings.

The marketing/sale of interests in these vehicles by an OFI to investors in Colombia is subject to the same requirements as apply to the marketing/provision of IMAS as set out above.

For the purposes of this section 1.4, the underlined words in the foregoing Executive Summary have the following meanings:

Certain Entities Exemption:

Certain foreign financial institutions are exempt from compliance with the **Colombian Offshore Marketing Regime**. Examples include: international development agencies; foreign entities arranging government-to-government financings; entities participating in syndicated loans but not as administrative or leader agents of the loan; entities seeking to grant financings to Colombian Foreign Exchange (FX) intermediaries with the purpose to fund the transactions and operations authorised to them in such capacity, and provided that the activities carried out are limited to the Promotion or Advertisement of the financings to be offered to such FX intermediaries; or foreign subsidiaries and agencies of Colombian financial or securities market entities. Qualifying

conditions apply. For further detail please refer to Section 6.2(d) of the Memorandum. In practice, this is quite a narrow exemption.

Colombian Offshore

An OFI that wishes to promote or advertise its financial or **Securities Market Products or Services** in Colombia, or to Colombian residents, must either: (i) set up a **Representative Office** or (ii) in respect of Securities Market Products or Services only, enter into a **Correspondent Agreement**.

Conditions for Permitted Reverse Enquiry:

The reverse enquiry exemption to the **Colombian Offshore Marketing Regime** applies when the following conditions are met:

- the Colombian resident has initially contacted the OFI to obtain information about its products or services;
- the commercial relationship has been initiated at the request or by the initiative of the Colombian resident; and
- no prior act of Promotion or Advertisement has been performed by the corresponding OFI with respect to the specific enquiry (note however, that does not inhibit the OFI from having had a previous relationship with the Colombian resident).

This exemption can only be used to promote specific Funds or Investment Management & Advisory Services which the Colombian resident has specifically asked for information about in the enquiry as well as any products that are strictly related to the product requested. No Funds or Investment Management & Advisory Services can be offered or promoted outside the ones requested by the Colombian resident.

However, each separate transaction with a particular investor does not need to be preceded by a reverse enquiry, as long as such transaction relates to the same product or service requested by the Colombian resident. Hence, it is possible for the OFI to discuss or refer to the possibility of an investor increasing its investment in a Fund in which it invested on the basis of a reverse enquiry. The OFI should not however, refer to other products and services that the investor could invest in and which the investor has not approached it about.

Correspondent Agreement:

An agreement entered into with an SFC-approved Colombian stockbroker-dealer firm or a financial corporation pursuant to which the Colombian stockbroker-dealer or a financial corporation promotes the **Securities Market Products or Services** on the OFI's behalf and in compliance with local law and regulation. Prior authorization of the arrangement from the SFC is required. The authorization period may take between 6-12 months. See section 8.1(a)(iii) of the Memorandum for more information.

Financial or Securities Market Products or Services

Any Funds or Investment Management & Advisory Services (IMAS) would fall within this definition and as such would be subject to the **Colombian Offshore Marketing Regime**.

Foreign Fund Approval Requirements:

In order to be offered/promoted or distributed to Colombian investors, a foreign Fund must meet the following requirements:

- Fund must have been authorized by its local regulatory authority;
- SFC must have entered into a memorandum of understanding or information exchange agreement with such local authority;
- local regulatory authority must oversee the Fund's manager;
- Fund must have segregation policies and standards in order to keep its assets separate from those belonging to the Fund's manager and other Funds it manages;
- Fund must have policies and standards to inform the Fund's investors of, amongst other things, the Fund's (1) objectives and investment policy; (2) risk profile and expected yield; (3) costs; (4) historic performance; and (5)

- manager's contact details;
- Fund must have a custodian, overseen by its local regulatory authority, independent from the Fund's manager; and
- Fund shall not execute leveraged operations.

Local counsel has advised that currently no such Funds are currently offered.

Local Securities Restriction

An OFI is not permitted to market/sell any Securities registered with the RNVE or foreign Securities listed on a Colombian exchange or provide any Services in respect of such Securities as this can only be undertaken by Colombian Securities intermediaries.

Private Offering Exemption:

A private placement exemption to the **Public Offering of Securities Restriction**. It applies when the offering of **Securities** are offered to a determined number of people not exceeding 99 (regardless of the type of investor, such as high-end individuals or professional investors, or whether the investor is an existing or potential investor).

Promotion or Advertisement:

Any communication or message, originated by an OFI sent personally or by any means, either *en masse* or individually aimed at initiating, directly or indirectly **Financial or Securities Market Products or Services**_(which would include any Funds or IMAS).

Public Offering of Securities Restriction:

Marketing/selling of **Securities** is a public offer and requires:

- registration with the RNVE;
- the prior approval of the SFC (which would include a Fund meeting the **Foreign Fund Approval Requirements**); and
- any marketing material intended to be used for the advertisement of a public offering, must be previously delivered to the SFC. The SFC has 15 days to comment and/or request additional information;

unless the **Private Offering Exemption** applies. For the purposes of this Part B Memorandum, the Public Offering of Securities Restriction would apply to Funds.

Representative Office:

- A representative office operates as a license issued to the OFI by the **SFC**.
- No permanent presence is required when establishing a representative office in Colombia.
- Most representative offices have their representatives fly in and out, rather than permanently reside in Colombia however some do have permanent people on the ground in Colombia. It is necessary for a Representative Office to have a registered domicile (i.e., local address) in Colombia.
- Prior authorization of from the SFC is required for the incorporation of the Representative Office as well as authorization for the initial promotional and advertising programme as set out in section 8.1(c).
- There are various other requirements and limitations set out in section 10(c) of the Memorandum.

RNVE:	National Registry of Securities and Issuers (<i>Registro Nacional de Valores y Emisores</i>).
Securities:	Securities are deemed as any right which is tradable and that is part of an issuance and which it is intended to solicit funds from the general public. Therefore, the Public Offering of Securities Restriction excludes any financial instrument not deemed as a security. In the event any foreign financial instrument is to be publicly offered in Colombia, then it would be up to the SFC to determine whether the financial instrument is to be deemed a security or not. Examples of securities would include interests such as participation units in Funds, equities and debt securities.
Securities Market Products or Services:	All types of Securities , including interests in Funds, equities and debt securities, and activities linked to the offering and placement of Securities in the market, including Investment Management & Advisory Services.

2. GUIDELINES FOR COMPLETING PART B OF THIS MEMORANDUM

Please check the boxes below to **confirm** you have followed each of these guidelines:

Please **do**:

- (a) let us know if there are **upcoming legislative changes** in relation to the Part B Memorandum Subject Matter **before** continuing to complete Part B. If the changes are major, we may ask you to delay work on completion of Part B until the changes are in force; x
- (b) **confirm** that the questions in Part B **cover** all the issues, requirements, restrictions, exemptions or workarounds that could apply to: (i) the cross-border **marketing and sale** of Funds or Investment Management & Advisory Services into your jurisdiction and (ii) the cross-border **provision** of Investment Advice or Arranging into your jurisdiction in connection with Funds or Investment Management & Advisory Services; x
- (c) provide **focused answers**, which deal only with issues/requirements/exemptions/conditions that are **relevant to a financial institution** (e.g., bank/securities firm/credit institution/hedge fund/investment fund/pension fund/insurance firm) – please do **not** provide theoretical answers that could never apply in practice to a financial institution; x
- (d) ensure that you **answer all of the questions** posed in Part B (please note that certain questions comprise several separate questions, all of which must be answered); x
- (e) use the **defined terms** in section 1.3 of this Part B; x
- (f) begin answers with **"Yes" or "No"**, where possible, followed up with a **simple and concise** explanation; x
- (g) where publicly available free of charge, please provide (i) a **website link** to **any guidance** (e.g., guidance issued by the competent regulator) referred to in your responses; and (ii) an **English translation** of any such guidance; and x
- (h) **complete Appendix 1 2 and 3 of this Part B**, which pull together all of the required and recommended legends, disclosures, risk factors and other forms of wording to be included in the communications referred to in this Part B. x

Please **do not**:

- (i) leave any answer **blank** – if a question is not applicable, please indicate this by stating "N/A" (and provide a brief explanation why it is not applicable); x
- (j) **modify** any question or the format of this Part B; x
- (k) qualify your answer with **additional factual assumptions** unless agreed with aosphere Limited; or x
- (l) **cross-refer** to answers to Part A of this Memorandum. Part A and Part B should be treated as separate standalone documents. x

3. SOURCES OF LAW; GUIDANCE; COMPETENT REGULATOR

Questions	Answers
(a) Please list the principal sources of law (whether based on specific legislative statutes, common/case law or equity (where applicable) or civil laws/codes and including constitutional laws) applicable to the cross-border marketing and sale of: (i) Funds; and (ii) Investment Management & Advisory Services, to investors located in your jurisdiction. Please include the date that the relevant law(s) entered into force.	Article 94 of Decree 663 of 1993 of Financial System Statute (hereinafter “FSS”) • Part 4 of Decree 2555 of 15th July, 2010 (hereinafter “Decree 2555”): https://www.superfinanciera.gov.co/jsp/10083580 (not available in English) • Circular 29 of 2014 issued by the Colombian Financial Superintendence (hereinafter “Circular 29”): https://www.superfinanciera.gov.co/publicaciones/10083443/normativanormativa-generalcircular-basica-juridica-ce-10083443/ • Circular 015 of 2016 issued by the Colombian Financial Superintendence on March 30, 2016, which modifies Circular 29 and establishes instructions regarding the valuation of fund investments. This regulation is applicable to fund administrators. • Circular 052 of 2016, issued by the Colombian Financial Superintendence on December 15, 2016 which modifies Circular 29 and establishes changes to format number 526 regarding the annual inform of the units, contributions, profits, and fund investors. This regulation is applicable to fund administrators and fiscal auditors. • Circular 015 of 2018, issued by the Colombian Financial Superintendence on June 19, 2018, which modifies Circular 29 and sets forth the regulation of distribution of foreign investment funds. • Circular 019 of 2021 issued by the Colombian Financial Superintendence on October 7, 2021, which modifies Circular 29 and sets forth the regulation of the advisory activity in the Securities Market. • Law 964 of July 8th, 2005 (“Law 964”), which provides the general regulatory framework applicable to the securities market, securities market activities, entities authorized to perform securities market activities, etc. • Resolution 1 of May 25th, 2018 (“Resolution 1”) issued by the Board of Directors of

	Colombian Central Bank (Foreign Exchange Regime); - Regulatory Circular DCIP-83 of August 27th, 2021 (DCIP-83) issued by the Board of Directors of Colombian Central Bank (Procedure to the registry of Foreign Exchange Operation); - Resolution 2375 of December 22nd, 2005, issued by the SFC (information prospectus for initial primary offers).
(b) Please list any guidance (e.g. bulletins, codes of practice, guidelines, etc.) issued by the competent regulator(s), which is relevant to the subject matter referred to in section (a) above. Please indicate whether guidance has binding (i.e. legally enforceable) or other status.	The Colombian Financial Superintendence (“SFC”) issues opinions (<i>conceptos</i>) interpreting the Colombian Offshore Marketing Regime (described in Section 6.2(d) below). Even though not considered binding, such opinions are taken seriously by the SFC and financial entities on the way in which regulation must be applied, including the Colombian Offshore Marketing Regime.
(c) Please provide a website link to the English language version of any such sources of law or guidance referred to in section (a) or section (b) above, if publically available free of charge.	None.
(d) Are there any announced future changes to the laws listed in section (a) above? If so, please: (i) contact us before continuing if the changes are significant; and (ii) provide brief details (including expected date of entry into force and what the anticipated scope of the changes is to the extent relevant).	GPA: No. However, please note that the SFC published Circular 005 of March 21,2024. This Circular proposes the applicable instructions regarding the integration and requirements on the ESG strategy for mutual investment fund in Colombia. Keep in mind that on a regular basis the SFC issues Resolutions that create, modify and eliminate obligations for financial entities.
(e) Please provide the name of the competent regulator(s).	The Ministry of Finance (<i>Ministerio de Hacienda y Crédito Público</i>), the Unit of Financial Regulation or “URF” as per its acronym in Spanish) and the Colombian Financial Superintendence (<i>Superintendencia Financiera de Colombia</i>, or “SFC” as per its acronym in

	Spanish).
(f) Please provide a link to the competent regulator's website (if any) – the English language version if available.	The following is a link to the official website of the Ministry of Finance: https://www.minhacienda.gov.co/ Ministerio de Hacienda y Crédito Público - Minhacienda The following is a link to the official website of the Unit of Financial Regulation (URF): http://www.urf.gov.co The following is a link to the official website of the SFC¹: https://www.superfinanciera.gov.co/jsp/index.jsf

4. [SECTION INTENTIONALLY LEFT BLANK]

5. PASSIVE MARKETING (REVERSE-ENQUIRY)

Questions	Answers
(a) Is marketing/selling of a Fund (whether Open-Ended or Closed-Ended) permitted following an unsolicited approach by an investor to an OFI?	Yes, it is permitted as long as the marketing/selling is restricted to the express solicitation or request of the investor.
Please outline the legal basis of permitted reverse-enquiries considering the following (if relevant): (i) What constitutes a “reverse-enquiry”/“reverse-solicitation” within your jurisdiction?	An OFI (including an intermediary acting on behalf of its client) may rely on a reverse enquiry exemption from the Colombian Offshore Marketing Regime (described in section 6.2(d) below) to market Open-Ended or Closed-Ended Funds to Colombian residents (notwithstanding whether they are professional investors or not). The reverse enquiry exemption is a mechanism that allows the limited promotion of financial and securities markets products and services (i.e., Open-Ended or Closed-Ended Funds) to Colombian residents without having presence or a licence in Colombia and is provided for in literal 5 of Article 4.1.1.1.3 of Decree 2555. The reverse enquiry exemption only applies when the following conditions are met: (a) the Colombian resident has initially contacted the OFI to obtain information about its products or services, (b) the commercial relationship has been initiated at the request or by the initiative of the Colombian resident, and (c)

¹ Information is not available in English.

	that no prior act of promotion or advertisement has been performed by the corresponding OFI with respect to the specific enquiry (the “Reverse Enquiry Exemption”). Article 4.1.1.1.1 of Decree 2555 defines what “promotion or advertisement” means, by stating that it should be understood as any communication or message, originated by an OFI, sent personally or by any means, either in mass or individually, aimed at initiating, directly or indirectly, Financial or Securities Market Products or Services (which for the purposes of this Part B Memorandum include Funds and Investment Management & Advisory Services). Decree 2555 also authorises OFIs to use locally incorporated financial subsidiaries or its parent company if established in Colombia for the purposes of promoting, advertising or selling its offshore Products and Services; in such event, local financial subsidiaries are assimilated to Representative Offices.
(ii) Must a “reverse-enquiry”/“reverse-solicitation” relate to a specific Fund or can it be more general?	The Reverse Enquiry Exemption applies only with respect to, and to the extent of, the products and/or services requested by the Colombian resident. Therefore, the scope of the products and services included in the Reverse Enquiry Exemption is determined pursuant to the scope and the specificity or generality of the products and services enquired about by the Colombian resident. This means that the Reverse Enquiry Exemption can only be used to promote specific funds, this is, those in respect of which the Colombian resident asks for information.
(iii) Does it make a difference if there is a pre-existing relationship with the investor?	No. The Reverse Enquiry Exemption does not inhibit the OFI from having had a pre-existing relationship with the Colombian resident.
(iv) Must each separate transaction with a particular investor be preceded by a “reverse-enquiry”/“reverse-solicitation”?	No. Each separate transaction with a particular investor does not need to be preceded by a reverse enquiry, so long as such transaction relates to the same product or service requested by the Colombian resident. Hence, it is possible for the OFI to discuss or refer to the possibility of an investor increasing its investment in a Fund in which it invested on the basis of a reverse enquiry. The OFI should not, however, refer to other products and services that the investor could invest in and which the investor has not approached it about.
(v) Is there a maximum number of potential investors an OFI may market/sell to in response to unsolicited approaches?	It should be noted that the Reverse Enquiry Exemption is an exemption from the Colombian Offshore Marketing Regime only. The marketing/sale of interests in a Fund offered to an undetermined number of persons or to 100 or more persons would still be caught by the Public Offering of Securities Restriction (described in section 6.2(d) below) from which there is no exemption based solely on the fact that an investor made a reverse enquiry. There is, however, a Private Offering Exemption from the Public Offering of Securities Restriction described in section 7.1(a) below. The combined effect of these rules and regulations (i.e. the Colombian Offshore Marketing

	Regime and the Public Offering of Securities Restriction) is that when marketing/selling a Fund, if the OFI restricts itself to acting only in response to reverse enquiries in accordance with the Reverse Enquiry Exemption AND then only in respect of fewer than 99 investors in accordance with the Private Offering Exemption, then the OFI will neither trigger the Colombian Offshore Marketing Regime nor the Public Offering of Securities Restriction.
(vi) Does it matter if a third party intermediary made the approach on behalf of the investor?	No. See (i) above.
(vii) Does the investor need to be a particular type of investor eg a professional investor?	No. See (i) above.
(viii) Are there restrictions regarding future communications with investors known to the OFI on the basis of a “reverse-enquiry”/“reverse-solicitation”?	Future communications with investors known to the OFI on the basis of the Reverse Enquiry Exemption can only be used to promote the specific type of products in respect of which the Colombian Resident based its enquiry at first, this is, those in respect of which the Colombian resident asked for information.
(b) Please provide any applicable practical advice in respect of the “reverse-enquiry” regime in respect of Funds that you think is relevant. For example:	
(i) are there particular compliance procedures which are advised?	For the OFI to evidence that there was in fact a Reverse Enquiry Exemption, it can use those means available as per the respective factual scenario (i.e., emails, phone recordings, etc.) It is recommended requesting that the client signs a letter stating that all conditions for the Reverse Enquiry Exemption were met and that no active advertising or promotion efforts from the OFI induced them to request information about the products and services. It is permitted to use a standard form template provided that the OFI complies with the conditions for the Reverse Enquiry Exemption.
(ii) are there any specific requirements regarding how investor documentation or application forms are provided to an investor known to the OFI on the basis of a	No. There are no specific requirements regarding how investor documentation or application forms are to be provided to an investor known to the OFI on the basis of a reverse enquiry.

"reverse-enquiry"?	
(iii) is it possible for an OFI to receive a general confirmation from a potential investor that it is happy to be contacted about future opportunities?	No. It is not possible for an OFI to receive a general confirmation from a potential investor to be contacted about future opportunities, as the scope of the Reverse Enquiry Exemption is limited to the specific products or services (i.e. a specific Fund) requested by the Colombian resident.
(iv) are there any registration/notification/approval/ licensing requirements which apply in respect of the OFI following an unsolicited approach regarding a Fund by an investor to an OFI?	No. There are no registrations/notifications/approvals/licensing requirements which apply in respect of the OFI following an unsolicited approach regarding a Fund by an investor to an OFI.
(c) Is marketing/selling of Investment Management & Advisory Services permitted following an unsolicited approach by an investor to an OFI? Please outline the legal basis of permitted reverse-enquiries considering the following (if relevant):	Yes. Please refer to our answer to section 5(a) above, as the same conditions apply for the marketing/provision of Investment Management & Advisory Services relying on the Reverse Enquiry Exemption from the Colombian Offshore Marketing Regime. It should be noted however, that in respect of the marketing/provision of Investment Management & Advisory Services, the Public Offering of Securities Restriction will not be applicable therefore, there is no need for the OFI to restrict itself to passive marketing/providing the Investment Management & Advisory Services to fewer than 99 investors so as to avoid triggering the Public Offering of Securities Restriction.
(i) What constitutes a “reverse-enquiry”/“reverse-solicitation” within your jurisdiction?	See 5(a)(i) above.
(ii) Must a “reverse-enquiry”/“reverse-solicitation” relate to a specific Investment Management & Advisory Service or can it be more general?	See 5(a)(ii) above.
(iii) Does it make a difference if there is a pre-existing relationship with the investor?	See 5(a)(iii) above.
(iv) Must each separate transaction with a particular investor be preceded by a “reverse-enquiry”/“reverse-solicitation”?	See 5(a)(iv) above.
(v) Is there a maximum number of potential investors an OFI may market/sell to in response to unsolicited approaches?	See 5(a)(v) above.

(vi) Does it matter if a third-party intermediary made the approach on behalf of the investor?	See 5(a)(vi) above.
(vii) Does the investor need to be a particular type of investor e.g. a professional investor?	See 5(a)(vii) above.
(viii) Are there restrictions regarding future communications with investors known to the OFI on the basis of a “reverse-enquiry”/ “reverse-solicitation”?	See 5(a)(viii) above.
(d) Please provide any applicable practical advice in respect of the “reverse-enquiry” regime in respect of Investment Management & Advisory Services that you think is relevant. For example:	Please refer to our answer to section 5(b) above.
(i) are there particular compliance procedures which are advised?	See 5(b)(i) above.
(ii) are there any specific requirements regarding how investor documentation or application forms are provided to an investor known to the OFI on the basis of a "reverse-enquiry"?	See 5(b)(ii) above.
(iii) is it possible for an OFI to receive a general confirmation from a potential investor that it is happy to be contacted about future opportunities?	See 5(b)(iii) above.

6. MARKETING/SELLING TO THE PUBLIC

Questions	Answers
6.1 Mutual Recognition of Funds/Passporting Schemes	
(a) Are there any existing or proposed regional arrangements for passporting or mutual recognition of Funds which facilitate the cross-border marketing/selling of Funds into your jurisdiction	Colombia is part of the Pacific Alliance (<i>Alianza del Pacífico</i>) with Chile, Mexico and Peru. To date, Colombia has not enacted any explicit arrangements regarding the passporting and mutual recognition of Funds from the partner countries. Nevertheless, it enacted Decree 1756 of 2017,

(“Arrangements”)? Examples of such Arrangements would be the Association of Southeast Asian Nations (ASEAN) CIS Framework, the Asia-Pacific Economic Co-operation (APEC) Asia Region Funds Passport, the Hong Kong–China mutual recognition platform for Funds or the Switzerland-Hong Kong mutual recognition scheme.	explained in detail in section 6.2. The MILA (<i>Mercado Integrado Latinoamericano</i>, as per its acronym in Spanish) was an agreement signed in 2009 between the stock exchanges of Lima, Santiago de Chile, México and Colombia. The idea was to integrate the four markets, allowing investors from the four countries (Perú, Chile, México and Colombia) to negotiate securities (which includes units or shares (<i>unidades o participaciones</i>) of funds) from the four countries in their home country. It also expanded the capacity of the electronic negotiation systems from each stock exchange allowing the investors and issuers to have at their disposal more opportunities of investment/funding. This project was a first phase of a bigger project currently ongoing: the merger of the Santiago, Lima, and Colombia’s stock exchanges. The merger was successfully finalized on August 31, 2023, and Nuam Exchange was form as the new corporation which integrates the Santiago, Lima, and Colombian stock markets. The markets operate separately and are currently on the process of being all integrated. MILA allows investors from each of the countries part of MILA to trade securities in each other’s markets. This means that an investor from Colombia, can invest via MILA on stocks or other securities from other markets of the members of MILA, for example México. In this regard, for a broker to participate in MILA, it must hold an account on the securities depository of the country in which they operate and the country that they want to expand the operation. This integration as allowed investors to invest, through a local broker on other markets part of MILA. Additional requirements may be needed depending on the market that each investor wants to invest in.
(b) Please briefly describe any such Arrangements and the relevant rules, guidance or legislation. Please ensure that these sources are included in your responses to section 3 above.	As to date no rules or legislation have been enacted in Colombia in this sense.
(c) If the Arrangements are already in force, if possible, please comment on how widely they have been used and whether any Funds have been marketed or sold in your jurisdiction on the basis of the Arrangements. Please give an indication of costs and timescales of using such Arrangements.	Please refer to section answer (a) in this section as no Arrangements are currently in force.
(d) If the Arrangements are not yet in force, if possible, please comment on their current status and expected timeline for implementation.	Please refer to section answer (a) in this section as no Arrangements are currently in force.
(e) Does a Fund have to be both domiciled and managed in one of the participating jurisdictions in order to benefit from the Arrangements,	Please refer to section answer (a) in this section as no Arrangements are currently in force.

as implemented in your jurisdiction?	
(f) Is any local presence required in your jurisdiction or would the regulator in your jurisdiction need to approve a Fund in any way before marketing / selling can take place there on the basis of the Arrangements?	Please refer to section answer (a) in this section as no Arrangements are currently in force.
(g) Do the Arrangements apply to both Open-Ended and Closed-Ended Funds ?	Please refer to section answer (a) in this section as no Arrangements are currently in force.
(h) Are there any registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/selling such Funds in accordance with the Arrangements in your jurisdiction?	Please refer to section answer (a) in this section as no Arrangements are currently in force.
(i) Where pursuant to this section 6.1 it is possible to market a Fund pursuant to the Arrangements in your jurisdiction, is it recommended or mandatory to include certain disclaimers/wording in the written marketing materials for such Fund marketed to the public? If so, please provide recommended wording in Section D of each of Appendix 1 and Appendix 2 (as applicable) of this Memorandum.	Please refer to section answer (a) in this section as no Arrangements are currently in force.
6.2 Funds	
(a) Please confirm whether your response to section 5(a) would apply where the unsolicited approach is made in respect of a Fund by an investor which is a member of the public . If applicable, please cross-refer to your answer to section (d) below.	Yes, the Reverse Enquiry Exemption would apply if the unsolicited approach were made in respect of a Fund by an investor which is a member of the public. Please refer to our answers to sections 5(a) and 5(b) above for more information on the conditions that must be complied with to apply the Reverse Enquiry Exemption.
(b) Is active marketing/selling of a Fund (domiciled outside your jurisdiction) to the public in your jurisdiction permitted without restriction ?	No. The active marketing/selling of a Fund to the public is caught by: (i) the Colombian Offshore Marketing Regime; and (ii) the Public Offering of Securities Restriction, unless the Fund is offered to 99 or less determined persons (i.e. is a private offering). OFIs should also note the Local Securities Restriction. Please refer to our answer at section 6.2(d) below.
(c) With reference to sections (a) and (b) above, if possible, please	There is no definition as to what is considered “the public” or retail investors. Notwithstanding the

provide a definition of “the public” as such term is interpreted in your jurisdiction. For example, “the public” are those investors that are not “professional investors”.	above, it can be argued that a retail investor is different to a professional investor, who is defined in Article 7.2.1.1.2 of Decree 2555 as an investor who has the experience and knowledge necessary to understand, evaluate and adequately manage the risks inherent in any investment decision. For this purpose, regulation requires that such professional investor must have a net worth equal to or higher than 157,878.12 Tax Units (“UVT”)² and fulfill one of the following conditions: (i) have a portfolio equal to or higher than 5,000 in monthly minimum wages;³ or (ii) has carried out, directly or indirectly 15 or more sale or purchase operations during a period of 60 calendar days in a time span that does not exceed 2 years prior to the day in which the determination is to be made. Normally these requirements are fulfilled by institutional investors (e.g., pension funds, insurance companies, mutual funds, among others). The “public” is therefore, essentially those investors who do not fall to be professional investors, as defined above.
(d) If the answer to section (b) above is “No”, are there certain requirements that either the OFI or the Fund (domiciled outside your jurisdiction) can fulfil so that active marketing/selling by the OFI of a Fund to the public in your jurisdiction is permitted? In preparing your answer, please ensure that your analysis covers the following (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	<i>Colombian Offshore Marketing Regime</i> Pursuant to Article 4.1.1.1.2 of Decree 2555, an OFI that wishes to promote or advertise its Financial or Securities Market Products and Services (which for the purposes of this Part B Memorandum include Funds and Investment Management & Advisory Services) in Colombia, or to Colombian residents, must either: (i) set up a representative office (“<u>Representative Office</u>”) in Colombia⁴, (ii) enter into a Correspondent Agreement with a local stock broker dealer firm or a local financial corporation (this option is only available for the promotion of securities market products and services (e.g. interest in Funds or Investment Management & Advisory Services in relation to securities such as interest in Funds, equities and debt securities)), and not financial products and services (a “<u>Correspondent Agreement</u>”), or (iii) render its products and services relying on the Reverse Enquiry Exemption (see Sections 5(a) and 5(c) above) (the “<u>Colombian Offshore Marketing Regime</u>”). Decree 2555 foresees that OFIs that have not established a Representative Office or entered into a

² Approximately US\$ 1,905,265.06 .

³ Approximately US\$ 952,632.53 .

⁴ Representative Offices operate as a licensee. Their main objective is to enable a foreign financial institution such as an OFI to market in Colombia or to Colombian residents financial or securities market products or services rendered by their main office. No permanent presence is required when establishing a Representative Office in Colombia. Most Representative Offices have their representatives fly in and out, rather than permanently reside in Colombia. Some Representative Offices do have permanent people on the ground in Colombia. When establishing a Representative Office, it is necessary that the Representative Office has a registered domicile (i.e. local address) in Colombia. Once the registered domicile has been informed to the SFC, there must be a nameplate available for the public in which the domicile is identified as registered address of the Representative Office of the OFI in Colombia.

	Correspondent Agreement will not be allowed, among other prohibitions, to: a. Send employees, agents or representatives to Colombia or hire Colombian residents to conduct advertisement or promotion activities regarding the OFI or in respect of the Fund; or b. Conduct, directly or indirectly, advertisement or promotion activities regarding the Fund in Colombia, or to Colombian residents. <i>Certain Entities Exemption</i> In addition to the Reverse Enquiry Exemption, Article 4.1.1.1.3 of Decree 2555 foresees the following foreign entities as being exempt from the requirement to establish a Representative Office or enter into a Correspondent Agreement (the “Certain Entities Exemption”): a. Foreign multilateral institutions created with the purpose to assist or to contribute to the development, productivity or improvement of the standard of living of other countries; b. Foreign public institutions dedicated to the financing or promotion of exporters or micro-businesses of other countries; c. OFIs subject to public international law or which act as loan intermediaries from government to government; d. OFIs which participate in syndicated loans but not as administrative or leader agents of the loan and only if the activities performed are limited to the promotion and advertisement of the syndicated loan; e. OFIs seeking to grant to Colombian Foreign Exchange (FX) authorized intermediaries’ financings with the purpose to fund the transactions and operations authorized to them in such capacity, and provided that the activities carried out by Foreign Institutions are limited to the promotion and/or advertisement of the financings to be offered to such FX intermediaries; f. Foreign subsidiaries and agencies of Colombian financial or securities market entities, provided that certain conditions specified in Decree 2555 are satisfied; and g. OFIs that have a financial, reinsurance or securities market subsidiary established in
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Colombia, provided that certain conditions specified in Decree 2555 are satisfied.

Public Offering of Securities Restriction

When marketing or selling a Fund (whether Open-Ended or Closed-Ended), the OFI may be subject to public offering regulations if participation units in such Fund (deemed as securities⁵ under Colombian regulations) are offered to 100 or more Colombian residents or to an undetermined group of Colombian residents⁶. In other words, in the event where the units in a foreign Fund are offered in Colombia to 100 persons or more or to an undetermined group of people, compliance with the regulations applicable to the public placement of securities is mandatory and prior approval from the SFC (which would include a Fund meeting the **Foreign Fund Approval Requirements** discussed below), is required (the “**Public Offering of Securities Restriction**”).

The failure to obtain such prior approval will result: (i) in the trade being null; and (ii) the possible arising of a crime (i.e., significant reception of funds from the public). In order to obtain the approval for a public offering the issuer must, among other things: (a) request the SFC to register the specific securities; (b) file financial statements, corporate documents, the offering rules, the prospectus (which must satisfy certain minimum general requirements, depending on the nature of the issuing entity and of the type of security), the ancillary documents, the rating (if debt); and (c) request the listing of the security in the Colombian stock exchange. Only private placements are exempted from this regulation (offeror must offer the securities to 99 or less determined persons).

Note that active marketing of interests in a Fund by way of a private placement has to be made in compliance with the Colombian Offshore Marketing Regime, described above.

Complying with the Public Offering of Securities Requirement involves requesting authorisation from the SFC to make the offering to Colombian residents of shares or participation units considered securities in the corresponding Fund.

⁵ Pursuant to article 2 of Law 964, securities are deemed as any right which is tradable and that is part of an issuance and which it is intended to solicit funds from the general public. Examples of securities include interests in a Fund, equities and debt securities. As a consequence, the regulation on public offering excludes any financial instrument not deemed as a security, as described above. In the event where any foreign financial instrument is to be publicly offered in Colombia, then it would be up to the Colombian Financial Superintendence to determine whether the financial instrument is to be deemed a security or not (according to the definition given by Law 964).

⁶ Pursuant to Decree 2555, a public offer is understood as an offering which is targeted to: (i) an undetermined group of people; or (ii) to 100 persons or more, with the purpose of placing, selling or acquiring securities issued in series or broadly, and which grant credit or participation rights to their holders.

Local Securities Restriction

If the shares or participation units (domestic or foreign) are to be negotiated (i.e., the selling or purchase of securities in the exchange market) or listed in Colombia, they have to be registered in the National Registry of Securities and Issuers (“RNVE” as per its acronym and Spanish) and **can only be offered by local securities intermediaries** (i.e., local stockbroker dealers). The application process to obtain authorisation from the SFC to make a public offering is free; however certain costs must be taken into account (i.e., counsellors, custodian fees if shares or units are to be negotiated in Colombia, etc.). In addition, there is no time frame established by the SFC to obtain an authorisation for this process; however, in our experience this process takes between 8 to 12 months). If the shares or participation units fall within the Local Securities Restrictions, the Colombian Offshore Marketing Regime would not be applicable since OFIs would not be able to negotiate them.

If the OFI has been licensed to operate in Colombia, it does not have to comply with the Reverse Enquiry Exemption or any other marketing mechanism (i.e., the Colombian Offshore Marketing Regime) to market the Fund in Colombia. However, when offering or selling the Fund, even where the OFI has been licensed, it is required to comply with the Public Offering of Securities Restriction, and marketing of the public offering has to be made in accordance with such regime.

Special Requirements for the Offering of Foreign Investment Funds.

Pursuant Decree 1756 of 2017⁷, in order for OFIs being able to offer and promote foreign investment funds to Colombian investors, regardless of if it is an institutional client or a retail client, such funds must meet the following requirements:

- i. The fund must have been authorized by its local regulatory authority;
- ii. The SFC must have entered into a memorandum of understanding or information exchange agreement with such authority;
- iii. The authority of the fund’s jurisdiction must also oversight the fund’s manager;
- iv. The fund must have segregation policies and standards in order to keep its assets duly separated from those belonging to the fund’s manager, as well as from those belonging to

⁷ This Decree is in force since October 28, 2017. Nevertheless, to the best of our knowledge, currently there are no funds offered under Decree 1756 of 2017.

	other funds managed; v. The fund must have policies and standards aimed to inform the fund's investors. Such standards must include, at least: 1) The fund's objectives and investment policy; 2) risk profile and expected yield, including all the risk the fund is exposed to; 3) costs; 4) fund's historic performance; 5) manager's contact information, including its address and web page. vi. The fund must have a custodian, subject to the jurisdiction's authority oversight, and must be independent from the fund's manager. vii. The fund shall not execute leveraged operations. Decree 1756 establishes that the "distribution" of funds will include the marketing of them. Currently no such Funds are offered. Where the requirement is triggered, the Colombian Offshore Marketing Regime would apply since the investment fund, although authorized and recognized by the SFC, is considered a foreign financial product (from Colombian Perspective). In this sense, Decree 1757 establishes that the "distribution" of funds will include the marketing of them. This activity can be performed by local stockbroker dealer firms and by managing companies of collective investment funds (<i>sociedades administradoras de fondos de inversión colectiva</i>) who are going to represent the foreign fund in Colombia for "distribution" purposes.
(i) the impact (if any) of the marketing/sale being undertaken in respect of a Fund regulated in a country other than your jurisdiction e.g. 1940 Act Fund, UCITS Fund.	See 6.2(d) above.
(ii) the impact (if any) of the marketing/sale being undertaken in respect of an Open-Ended or a Closed-Ended Fund .	It does not make a difference if the Fund is Open-Ended or Closed-Ended.
(iii) the relevant criteria for determining whether investors are in your jurisdiction for the purposes of determining whether the	For the purposes of determining whether investors are located in Colombia, Decree 1068 of 2015 establishes that Colombian residents are: (i) individuals living in Colombia; or (ii) legal entities (i.e., companies, corporations, non-profit institutions) domiciled in Colombia, as well as affiliates

Fund may be offered to the public.	(<i>sucursales</i>) of foreign entities located in Colombia.
(iv) whether it is (A) necessary ; or (B) permitted to use a local intermediary in order to market/sell interests in a Fund to the public in your jurisdiction.	If the interests, participation units or shares in Funds are securities registered in the RNVE and therefore negotiated or listed in Colombia, they can only be marketed or offered by a local licensed securities intermediary (i.e., local stockbroker dealer firm). Accordingly, in such case, it is necessary to use a local intermediary in order to market/sell the relevant interests to the public in Colombia. If the shares or participation units fall within the Local Securities Restrictions, the Colombian Offshore Marketing Regime would not be applicable since OFIs would not be able to negotiate them. Otherwise, assuming that the Fund is located outside Colombia and its interests, participation units or shares will not be negotiated or listed in Colombia, the OFI may be able to rely on the Certain Entities Exemption in order to market/sell the interests in such Fund and in doing so avoid the requirement to establish a Representative Office or enter into a Correspondent Agreement (discussed at Section 6.2(d)) and can conduct a private placement (i.e. avail of the Private Offering Exemption) in order to avoid the Public Offering of Securities Restriction. In such circumstances, it would not be necessary to use a local intermediary. The Correspondent Agreement route implies the OFI entering into an arrangement with a local intermediary.
(e) whether there is any requirement as to the language the Fund documentation needs to be in and are there any particular requirements that apply in connection to such documents?	Fund documentation (e.g. prospectus) should comply with the relevant Local Securities Restriction and disclaimers must be included in the relevant offering documentation of the Fund. The disclaimers may be included in English or Spanish, depending on the language of the Fund documentation. Please see Appendix 1 for the relevant disclaimers. The fund documentation may be drafted in either English or Spanish, depending on the fund's documentation language. However, please note that for a public offering of securities in accordance with the Public Offering of Securities Restriction, the fund documentation must be drafted in Spanish.
(f) Where it is possible to market/sell a Fund pursuant to a regime outlined in 6.2(d), please briefly outline any applicable timescales, costs, initial and ongoing filing or other requirements.	See 6.2(d) above.
(g) Are there any registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/selling a	See 6.2(d) above.

Fund to the public in your jurisdiction?	
(h) Would your answer to section (b) above differ if interests in the Fund being marketed/sold to the public constituted the re-sale of existing interests (i.e. a secondary offering) rather than the offering/placement of a new issue?	The marketing would still have to be undertaken in compliance with the Colombian Offshore Marketing Regime (i.e. in accordance with the Reverse Enquiry Exemption or any other mechanism) to market the Fund in Colombia, even if it is made for the purpose of re-selling the shares, participation units or interests in such Fund. However, re-selling of shares in the secondary market does not need to comply with the Public Offering of Securities Restriction. Note that if such shares are registered with the RNVE or if they are foreign shares listed on a Colombian exchange, they can only be offered by local securities intermediaries (i.e., local stockbroker dealer). If the shares or participation units fall within the Local Securities Restrictions, the Colombian Offshore Marketing Regime would not be applicable since OFIs would not be able to negotiate them
(i) Where pursuant to section 6.2(d) above it is possible to market a Fund to the public in your jurisdiction, is it recommended or mandatory to include certain disclaimers/wording in the written marketing materials for a Fund marketed to the public? If so, please provide recommended wording in Section C of each of Appendix 1 and Appendix 2 (as applicable) of this Memorandum.	Yes, please refer to Section C of Appendix 1 and Appendix 2 to see the recommended disclaimer to be included in marketing materials of a Fund marketed to a limited number of members of the public i.e., fewer than 100, to avoid the Public Offering of Securities Restriction.
6.3 Investment Management & Advisory Services	
(a) Please confirm whether your response to section 5(c) would apply where the unsolicited approach in respect of Investment Management & Advisory Services is made by an investor which is a member of the public. If applicable, please cross-refer to your answer to section (b) or (d) below.	Yes. Please refer to our answer to section 5(c) above, as the same conditions apply for the marketing of Investment Management & Advisory Services in accordance with the Reverse Enquiry Exemption, even if the unsolicited approach is made by a member of the public.
(b) Is marketing/selling of Investment Management & Advisory Services to the public in your jurisdiction permitted without restriction ?	No. The marketing of Investment Management & Advisory Services must be undertaken in compliance with the Colombian Offshore Marketing Regime (i.e., Representative Office, or Correspondent Agreement (to the extent that the Investment Management & Advisory Service relates to securities market products e.g., participating units in a Fund or other types of securities such as debt securities or equities)) unless an exemption applies. Please see section 6.2(d). The Public Offering of Securities Restriction is not applicable.

	Due to the existing limitations on the permitted activities of a Representative Office or a local stockbroker-dealer via a Correspondent Agreement, provision of IMAS can only be carried out by the OFI. Pursuant to the Local Securities Restriction, an OFI is not permitted to market/ provide any IMAS in respect of any Securities registered with the RNVE or foreign Securities listed on a Colombian exchange as this can only be undertaken by Colombian Securities intermediaries. If this restriction applies the Colombian Offshore Marketing Restriction will not apply.
(c) With reference to sections (a) and (b) above, if possible, please provide a definition of “the public” as such term is interpreted in your jurisdiction. For example, “the public” are those investors that are not “professional investors”. Please refer to section 6.2(c) if applicable.	Please refer to our answer to section 6.2(c) above.
(d) If the answer to section (b) above is “No”, are there certain requirements that the OFI can fulfil so that marketing/selling by the OFI of Investment Management & Advisory Services to the public in your jurisdiction is permitted?	Please see section 6.2(d) for more information on the Colombian Offshore Marketing Regime. The Public Offering of Securities Restriction is not applicable. Investment Advice Requirements In addition, Decree 661 of April 17th of 2018 by Colombia’s Ministry of Finance and Public Credit came into force on 7 October 2021. This Decree defines the scope of professional investment advice in Colombia and sets out all the conditions and requirements under which it must be rendered to Colombian residents, whether directed towards Institutional Clients or individuals. For general information purposes only, the following must be provided: - Definition of the investor’s profile. - Definition of the product’s profile. - Suitability analysis in order to determine if a specific product meets the investor’s investment needs according to its risk tolerance. - Professional advice, which implies a suitable recommendation regarding an investment, considering the product’s and investor’s profiles and features. This obligation does not apply to professional investors, who are allowed to accept the professional advice as long as there is a written and expressly willingness of such acceptance.

	v. Providing information regarding all aspects of the investment. The SFC issued External Circular 019 of 2021, by which it instructs the entities subject to its oversight (which would include an OFI providing IMAS in Colombia) regarding the scope of the obligations on them by virtue of Decree 661 and the criteria for the classification of simple or complex products and their distribution and requirements for the implementation of technological tools for the provision of professional recommendations. The entities subject to its oversight have one year to abide to the Decree (end date: 7 of October 2022).
(e) Is there a requirement as to the language the written marketing materials need to be in when marketing/providing Investment Management & Advisory Services to the public and are there any particular requirements that apply in connection to such documents?	No. There are no language requirements when marketing/providing IMAS to the public. Written marketing materials should comply with any generally applicable Colombian regulatory requirements on promotion, advertising and information to investors/clients, as mentioned in this questionnaire.
(f) Where pursuant to section 6.3(d) above it is possible to market/sell Investment Management & Advisory Services to the public in your jurisdiction, is it recommended or mandatory to include certain disclaimers/wording in the written marketing materials? If so, please provide recommended wording in Section C of Appendix 3 of this Memorandum.	Not Applicable.

7. PRIVATE PLACEMENT REGIME

Questions	Answers
7.1 Private Placement Regime (Funds)	
(a) Is active marketing/selling by an OFI of interests in a Fund (whether Open-Ended or Closed-Ended) to investors in your jurisdiction via a private placement regime permitted? In preparing your answer, please <u>ensure that your analysis covers the following</u> (or if these matters are not relevant to your jurisdiction, please	The marketing/selling of interests, shares or participation units in Funds (which are considered securities in Colombia, notwithstanding whether the Fund is Open-Ended or Close-Ended) will be caught by the Colombian Offshore Marketing Regime and as such the active marketing/selling via a private placement is not permitted unless the OFI: (i) sets up a Representative Office; (ii) enters into a Correspondent Agreement; or (iii) the Certain Entities Exemption applies. Please see section 6.2(d) for more information on this.

explicitly state that in your response):	The OFI will also need to comply with the Public Offering of Securities Restriction. Any active marketing/selling of Funds can be conducted via private placement. As per Article 6.1.1.1.1 of Decree 2555, a private placement of securities is defined as the offering of securities issued in series or <i>in mass</i> to 99 or fewer determined persons (regardless of the type of investor, such as high-end individuals or professional investors, or where the investor is an existing or potential investor) (the “Private Offering Exemption”). The Private Offering Exemption allows the OFI not to comply with the Public Offering of Securities Restriction. It is the only exemption to the Public Offering of Securities Restriction. Please also note the Local Securities Restriction. If any interests, shares, participation units in a Fund are registered with the RNVE or are foreign securities listed on a Colombian exchange, they can only be offered by local securities intermediaries (i.e., local stockbroker dealer). If this restriction applies, the Colombian Offshore Marketing Restriction will not apply.
(i) the impact (if any) of the marketing/sale being undertaken in respect of an Open-Ended or a Closed-Ended Fund. Where the rules of the private placement regime distinguish between Open-Ended or Closed-Ended Funds, please outline how the rules of your jurisdiction define an Open-Ended or a Closed-Ended Fund.	See 7.1(a) above. It does not make a difference if the Fund is Open-Ended or Closed-Ended.
(ii) the impact (if any) of the marketing/sale being undertaken in respect of a Fund regulated in a country other than your jurisdiction e.g. 1940 Act Fund, UCITS Fund.	See 7.1(a) above. It does not have an impact on the sale and/or marketing of a Fund regulated in a country other than Colombia.
(iii) available exemptions which permit marketing/sale of Funds to investors (e.g. based on type of investor, minimum investment amount, small number of investors, existing customer, tolerated practice, etc). If an exemption is available, please set out the criteria which must be satisfied in order to utilise it. Please include a discussion of any exemptions available to individual investors on the basis that they are high net worth/sophisticated . Please comment on both formal “ black-letter law ” exemptions and accepted practice .	Colombian Offshore Marketing Regime Certain Entities Exemption – please see section 6.2(d) and the Reverse Enquiry Exemption. Public Offering of Securities Restriction Private Offering Exemption. See 7.1(a) and 6.2(d) above. Local Securities Restriction No exemptions.

(iv) the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining how the private placement regime applies (e.g., the investor is incorporated, domiciled, has employees in your jurisdiction).	For a definition of investors in Colombia, please refer to answer to section 6.2(d) above.
(v) any sensitivities depending on whether the investor is a potential or an existing client.	The criteria for complying with the Reverse Enquiry Exemption, as explained in 5(a) above, should be observed, regardless of if it pertains to a potential or an existing client.
(b) Are there registration/notification/approval/licensing requirements which apply in respect of a Fund before it can be marketed/sold to investors in your jurisdiction? Please outline what activity will trigger such requirements and the practical steps required to fulfil any such requirements (including links to relevant forms/information on the relevant regulator's website).	Other than the Public Offering of Securities Restriction (unless the Private Offering Exemption applies), assuming that the Fund is located outside Colombia and its interests, participation units or shares will not be negotiated or listed in Colombia, it does not have to obtain any licence, approval or registration to operate.
(i) Please outline any applicable time periods (e.g., the amount of time between the submission of an application and the issuance of an approval)	N/A, no approval would be required for marketing a Fund under the Private Offering Exemption, as long as such marketing is in compliance with the Colombian Offshore Marketing Regime. The licensing procedure for setting up a Representative Office or entering into a Correspondent Agreement is currently taking between 6 to 12 months, once the documentation is furnished to the SFC.
(ii) Are any fees payable, whether related to the: (A) initial notification/registration; or (B) on an ongoing basis?	(A) No. (B) No.
(iii) Please could you provide link to the local regulator's website (even if in local language only) where information and/or notification/approval forms are set out for marketing a Fund via the private placement regime.	There are no information and/or notification/approval forms for marketing a Fund under the Private Offering Exemption.
(c) Is there a requirement as to the language the Fund documentation needs to be in when marketing/selling pursuant to the private placement regime and are there any particular requirements that	See 6.2 (e) above. Documentation may be in English or Spanish, depending on the Fund documentation language. Where there is a Public Offer of Securities, the documentation for the Fund must be in Spanish.

apply in connection to such documents?	
(d) Are there registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/selling a Fund in your jurisdiction? Please outline the practical steps required to fulfil any such requirements in particular: (i) please provide a link to relevant forms/information on the relevant regulator's website) (even if in the local language only); and (ii) are there any possible exemptions from such requirements?	Compliance with the Colombian Offshore Marketing Regime is required unless the Certain Entities Exemption applies. See section 6.2(d) above for more details.
(e) (i) Is it: (A) necessary; or (B) permitted to use a local intermediary in order to market/sell interests in a Fund to an investor in your jurisdiction and, if so, on what basis? Please consider the position in relation to:	If the interests, participation units or shares in Funds are securities registered in the RNVE and, therefore, negotiated or listed in Colombia or foreign securities listed on a Colombian exchange, they can only be marketed or offered by a local licensed securities intermediary (i.e., local stockbroker dealer firm). If the shares or participation units fall within the Local Securities Restrictions, the Colombian Offshore Marketing Regime would not be applicable since OFIs would not be able to negotiate them Assuming that the Fund is located outside Colombia and its interests, participation units or shares will not be negotiated or listed in Colombia, the OFI may be able to rely on the Certain Entities Exemption in order to market/sell the interests in such Fund. By doing so, the OFI would avoid the requirement to establish a Representative Office or enter into a Correspondent Agreement (discussed at Section 6.2(d)) and will be able conduct a private placement (i.e., avail of the Private Offering Exemption) in order to avoid the Public Offering of Securities Restriction. See 6.2(d)(iv) above. Please note that the Correspondent Agreement route involves the OFI entering into an arrangement with a local intermediary. Where the Fund: (1) is registered in the RNVE; or (2) is listed on a Colombian exchange, the interests of the fund have to be necessarily negotiated through a local securities intermediary. If this restriction applies, the Colombian Offshore Marketing Restriction will not apply.

(A) a licensed third-party intermediary;	Depending on the specific case. See 7.2(d) and 6.2(d)(iv) above.
(B) an unlicensed local third-party intermediary; or	No. See 7.2(d) above.
(C) a branch, representative office or other form of regulated place of business of the OFI in your jurisdiction.	Depending on the specific case. See 7.2(d) and 6.2(d)(iv) above.
(ii) Where the key entity marketing/selling the Fund in your jurisdiction is in compliance with local licensing requirements, is it permitted for the sub-advisor/manager of the Fund to participate in the marketing activities (e.g. via Fly-In Meeting, telephone call, email) without itself being licensed in your jurisdiction? For example, can the sub-advisor/manager participate in the marketing/selling activities where the locally licensed entity acts as its chaperone?	Any entity marketing/selling a Fund in Colombia must comply with the Colombian Offshore Marketing Regime i.e. it must open a rep office or enter into a correspondent agreement. However, the sub-advisor/manager of the Fund may participate in marketing activities, where the locally licensed entity acts as his chaperone, as long as he complies with the following: (i) It is made clear that the sub-advisor is not permitted to conduct investment business under Colombia's jurisdiction. (ii) The sub-advisor is only attending in the capacity of sub-advisor of the Fund; and (iii) The sub-advisor only provides information on the investment strategy followed by the Fund. However, please note that where there is a Representative Office or a Correspondent Agreement is entered into, there will be authorized representatives that should be the ones undertaking the promotion activities rather than a sub-advisor/manger.
(f) Are there any other requirements (including any ongoing requirements) in order to comply with the rules/guidance applicable to the private placement regime in your jurisdiction for Funds not dealt with elsewhere in this Part B of the Memorandum? For example, are there any particular requirements that apply to a special category of investor in your jurisdiction which an OFI should bear in mind before marketing to such investors (i.e., based upon an investor being an insurance company, a sovereign wealth fund, an endowment, a foundation or a pension fund). Please do not refer to requirements applicable to retail investors which are dealt with in	No.

section 6 of this Memorandum.	
(g) Would your answer to question 7.1 differ if interests in the Fund being marketed/sold constituted the re-sale of existing interests (i.e., a secondary offering) rather than the offering/placement of a new issue?	Yes. Please refer to answer to section 6.2 (g) above.
UCITS Funds	
(h) Please confirm whether your response to section 5(a) would apply where the unsolicited approach is made in respect of a UCITS Fund.	Yes. Please see our answer to question 6.1. (a) above.
(i) Where it is possible to market/sell a Fund pursuant to a regime described in Section 7.1(a) or 6.2(d), would the type of Fund that can be marketed/sold include a UCITS Fund?	Yes.
(j) If the answer to 7.1(h) is “yes”, please briefly outline or cross-refer to the relevant section if the information is contained elsewhere in this Memorandum:	
(i) The notification/approval process (if any);	See 7.1(b) above.
(ii) Timescales;	See 7.1(b)(i) above.
(iii) Costs, including any fees: (A) initially payable; and (B) payable on an ongoing basis;	See 7.1(b)(ii) above.
(iv) What language does the Fund documentation need to be in;	There is not a specific requirement in this regard. Thus, the Fund documentation does not need to be in a specific language.
(v) Whether a local presence is required;	Yes, if marketing of the Fund is being carried out through a Representative Office or a Correspondent by virtue of Correspondent Agreement. See 7.1(b)(i) above.

(vi) Whether local agents and/or distributors are required; and	Yes, if marketing of the Fund is being carried out through a Representative Office or a Correspondent by virtue of Correspondent Agreement. See 7.1(b)(i) above. OFIs should also note the Local Securities Restriction (please see section 6.2(d)).
(vii) Initial and ongoing filing requirements.	See 7.1(b)(i) and 7.1(b)(iii) above.
(k) Where it is possible to market/sell a UCITS Fund pursuant to the regime described in Section 7.1(a) or 6.2(d) in your jurisdiction are there any registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/selling the UCITS Fund in your jurisdiction?	No. See 7.1(b) and 7.1(b)(iii) above
(l) Where it is possible to market/sell a UCITS Fund pursuant to a regime described in Section 7.1(a) or 6.2(d) in your jurisdiction, is it recommended or mandatory to include certain disclaimers/wording on the written marketing materials. If so, please provide recommended wording in Section A of Appendix 1 of this Memorandum.	Yes, please refer to Section C of Appendix 1 and Appendix 2 to see the recommended disclaimer to be included in marketing materials of a Fund marketed to a limited number of members of the public i.e., fewer than 100, to avoid the Public Offering of Securities Restriction.

7.2 Sensitivities based on Structure and/or Investment Strategy (Funds)

What we are seeking to draw out in this section is whether there are any particular requirements or restrictions that **only** apply to **certain sorts of Fund** when they are marketed or sold in your jurisdiction. You may have already dealt with these issues elsewhere in the Memorandum in which case please include a cross-reference to the applicable response.

(a) Are there particular **requirements or restrictions** which apply where an OFI wishes to market/sell a Fund in your jurisdiction where such Fund is **structured** as:

Please indicate your response by answering Yes/No for each type of fund structure.

OPEN-ENDED FUND		
	Yes/ No	If the answer is “Yes”, please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.

CLOSED-ENDED FUND		
	Yes/ No	If the answer is “Yes”, please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.

corporate (unlisted)	No	
corporate (listed on an exchange including an ETF)	Yes	To the extent that the interests, participation units or shares in the Fund are securities registered in the RNVE (i.e. fund units listed and publicly traded unless expressly excluded by law e.g. units in an open investment scheme (<i>Fondo de Inversión Colectiva Abierto</i>)) and therefore negotiated or listed in Colombia or are foreign securities listed on a Colombian exchange, they can only be marketed or offered by a local licensed securities intermediary (i.e., local stock broker dealer firm). If the shares or participation units fall within the Local Securities Restrictions, the Colombian Offshore Marketing Regime would not be applicable since OFIs would not be able to negotiate them
limited partnership	No	
contractual	No	
trust	No	
sub-fund of umbrella	No	
master/feeder	No	
Fund whose interests/units/shares are tokenised	No	
other	No	

corporate (unlisted)	No	
corporate (listed on an exchange including an ETF)	Yes	To the extent that the interests, participation units or shares in the Fund are securities registered in the RNVE (i.e. fund units listed and publicly traded unless expressly excluded by law e.g. units in an open investment scheme (<i>Fondo de Inversión Colectiva Abierto</i>)) and therefore negotiated or listed in Colombia or are foreign securities listed on a Colombian exchange, they can only be marketed or offered by a local licensed securities intermediary (i.e., local stockbroker dealer firm). If the shares or participation units fall within the Local Securities Restrictions, the Colombian Offshore Marketing Regime would not be applicable since OFIs would not be able to negotiate them
limited partnership	No	
contractual	No	
trust	No	
sub-fund of umbrella	No	
master/feeder	No	
Fund whose interests/units/shares are tokenised	No	
other	No	

(b) Are there particular additional **requirements or restrictions** which apply where an OFI wishes to market/sell a Fund in your jurisdiction where such Fund's **investment strategy** is listed below, or involves investments in, those types listed below.

Please indicate your response by answering Yes/No for each type of fund investment or strategy.

OPEN-ENDED FUND			CLOSED-ENDED FUND		
	Yes/ No	If the answer is "Yes", please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.		Yes/ No	If the answer is "Yes", please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.
hedge fund strategy	No		hedge fund strategy	No	
private equity investments	No		private equity investments	No	
real estate investments	No		real estate investments	No	
infrastructure investments	No		infrastructure investments	No	
debt or equity instruments	No		debt or equity instruments	No	
derivative investments	No		derivative investments	No	
fund of funds strategy	No		fund of funds strategy	No	
environmental, social and	No	However, please note that the SFC enacted Resolution number 0442 of May 4, 2020, by means	environmental, social and	No	However, please note that the SFC enacted Resolution number 0442 of May 4, 2020, by means of which it

governance (ESG) strategy		of which it created a new sustainable finances section within the SFC and though this Resolution does not yet provide any additional requirements or restriction on ESG strategy, it is possible that they are set forth in the future.		governance (ESG) strategy		created a new sustainable finances section within the SFC and though this Resolution does not yet provide any additional requirements or restriction on ESG strategy, it is possible that they are set forth in the future.
crypto-asset strategy	No	Please note that the SFC has stated in Circular Letters 29 of 2014 and 78 of 2019 that crypto assets in Colombia are not considered financial products. In this sense, no authorization for promotion or advertisement in Colombia has to be sought before the SFC. Colombian Central Bank (<i>Banco de la República</i>) shares the same position.		crypto-asset strategy	No	Please note that the SFC has stated in Circular Letters 29 of 2014 and 78 of 2019 that crypto assets in Colombia are not considered financial products. In this sense, no authorization for promotion or advertisement in Colombia has to be sought before the SFC. Colombian Central Bank (<i>Banco de la República</i>) shares the same position.
Sharia compliant strategy	No			Sharia compliant strategy	No	
private credit/non-bank lending strategy	No			private credit/non-bank lending strategy	No	
other	No			other	No	

7.3 Private Placement Regime (Investment Management & Advisory Services)	
(a) Is it possible for an OFI to actively market/provide Investment Management & Advisory Services to investors in your jurisdiction and, if so, on what basis? Please note that the provision of the Investment Management & Advisory Services of Investment Advice and Arranging are specifically dealt with separately in sections 8.8 and 8.9. It is therefore not necessary to repeat this information here. In preparing your answers, please <u>ensure that your analysis covers the following</u> (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	Yes. Active marketing and provision of the Investment Management & Advisory Services must be done in compliance with the Colombian Offshore Marketing Regime (i.e., establishing a Representative Office or Correspondent Agreement (to the extent that the Investment Management & Advisory Services relate to securities market products (e.g., interests in a Fund or other types of security including debt securities and equities)) unless an exemption applies. Please see answer to section 6.2(d) above). The Public Offering of Securities Restriction is not applicable. Due to the limitations on the permitted activities of a Representative Office or a local stockbroker-dealer via a Correspondent Agreement, provision of IMAS can only be carried out by the OFI. OFIs should also note the Local Securities Restriction. An OFI is not permitted to market/provide IMAS in respect of any Securities registered with the RNVE or to foreign Securities listed on a Colombian exchange Securities as this can only be undertaken by Colombian Securities intermediaries.
(i) available exemptions applicable to the marketing or provision of Investment Management & Advisory Services to investors (e.g. based on type of investor, minimum investment amount, small number of investors, existing customer, tolerated practice, etc). If an exemption is available, please set out the criteria which must be satisfied in order to utilise it. Please include discussion of any exemptions available to individual investors on the basis that they are high net worth/sophisticated. Please comment on both formal “black-letter law” exemptions and accepted practice.	N/A. The only applicable exemptions are the Revere Enquiry Exemption, as explained in 5(a) above, and the Certain Entities Exemption, as explained in 6.2(d) above.
(ii) the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining how the private placement regime applies (e.g., the investor is incorporated, domiciled, has employees in your jurisdiction).	For a definition of investors in Colombia, please refer to answer to section 6.2(d) above.
(iii) any sensitivities depending on whether the investor is a	The criteria for complying with the Reverse Enquiry Exemption, as explained in 5(a) above,

potential or an existing client.	should be observed, regardless of if it pertains to a potential or an existing client.
(b) Are there registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/providing Investment Management & Advisory Services to investors in your jurisdiction? Please outline the practical steps required to fulfil any such requirements (including links to relevant forms/information on the relevant regulator's website) plus any possible exemptions from such requirements.	Yes, compliance with the Colombian Offshore Marketing Regime is required unless the Certain Entities Exemption applies, as explained in 6.2(d) above.
(c) (i) Is it: (A) necessary ; or (B) permitted to use a local intermediary in order to market/provide Investment Management & Advisory Services to an investor in your jurisdiction and, if so, on what basis? Please consider the position in relation to:	An OFI is not permitted to market/provide IMAS in respect of any securities registered in the RNVE or to foreign securities listed in Colombian exchanges. This can only be done through a local licensed securities intermediary (i.e., local stockbroker dealer firm). If this restriction applies the Colombian Offshore Marketing Restriction will not apply. Otherwise, assuming that the Fund is located outside Colombia and its interests, participation units or shares will not be negotiated or listed in Colombia, the OFI may be able to rely on the Certain Entities Exemption in order to market/sell the interests in such Fund and in doing so avoid the requirement to establish a Representative Office or enter into a Correspondent Agreement (discussed at Section 6.2(d)) and can conduct a private placement (i.e. avail of the Private Offering Exemption) in order to avoid the Public Offering of Securities Restriction. The Correspondent Agreement route involves the OFI entering into an arrangement with a local intermediary. See 7.1(d) and 6.2(d)(iv) above.
(A) a licensed third-party intermediary;	If the OFI wishes to actively market/provide Investment Management & Advisory Services related to securities listed in the RNVE (e.g., Investment Advice in relation to the acquisition of participation units of a Colombian fund registered in the RNVE) or in relation to foreign securities listed on a Colombian exchange, this can only be undertaken by a local licensed intermediary (i.e., local stockbroker dealer firm). Where this local securities restriction applies, the Colombian Offshore Marketing Regime will not apply. Otherwise, compliance with the Colombian Offshore Marketing Regime is required unless the Certain Entities Exemption applies.
(B) an unlicensed local third-party intermediary; or	No. See 7.2(d) above.

(C) a branch, representative office or other form of regulated place of business of the OFI in your jurisdiction.	Depending on the specific case. See 7.2(d) and 6.2(d)(iv) above.
(ii) Where the key entity marketing/selling the IMAS in your jurisdiction is in compliance with local licensing requirements, is it permitted for a sub-advisor of an investment strategy e.g., sub-advisor of a Managed Account, to participate in the marketing activities (e.g., via Fly-In Meeting, telephone call, email) without itself being licensed in your jurisdiction? For example, can the sub-advisor/manager participate in the marketing/selling activities where the locally licensed entity acts as its chaperone?	Any entity marketing/selling IMAS must comply with the Colombian Offshore Marketing Regime mentioned in point 6.2 (d). However, the sub-advisor of a managed account may participate in marketing activities, where the locally licensed entity acts as his chaperone, as long as he complies with the following: (i) It is made clear that the sub-advisor is not permitted to conduct investment business under Colombia's jurisdiction; (ii) The sub-advisor is only attending in the capacity of sub-advisor of the Fund; and (iii) sub-advisor only provides information on the investment strategy followed by the Fund. However, please note where there is a Representative Office or a Correspondent Agreement is entered into, there will be authorized representatives that should be the ones undertaking the promotion activities rather than any sub-advisor. As set out in section 7.1(a) above, due to the existing limitations on the permitted activities of a Representative Office or a local stockbroker-dealer via a Correspondent Agreement, provision of IMAS can only be carried out by the OFI.
(d) Is there a requirement as to the language the written marketing materials need to be in when marketing/providing Investment Management & Advisory Services pursuant to the routes described in this section 7.3 and are there any particular requirements that apply in connection to such documents?	No. There are no particular language requirements that apply in connection to such documents.
(e) Are there any other requirements (including any ongoing requirements)?	No.
7.4 Sensitivities based on Investment Strategy (Investment Management & Advisory Services)	
What we are seeking to draw out in this section is whether there are any particular requirements or restrictions that only apply to certain sorts of Investment Strategy when	

Investment Management & Advisory Services are marketed or sold in your jurisdiction. You may have already dealt with these issues elsewhere in the Memorandum, in which case please include a cross-reference to the applicable response.

(a) Are there particular additional **requirements or restrictions** which apply where an OFI wishes to market/provide Investment Management & Advisory Services using the private placement regime in your jurisdiction where the **investment strategy** is listed below or involves investments in those types listed below.

Please indicate your response by answering Yes/No for each type of investment or strategy.

INVESTMENT MANAGEMENT & ADVISORY SERVICES

	Yes/No	If the answer is “Yes”, please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.
hedge fund strategy	No	
private equity investments	No	
real estate investments	No	
infrastructure investments	No	
debt or equity instruments	No	
derivative investments	No	
fund of funds strategy	No	
environmental, social and governance (ESG) strategy	No	
Sharia compliant strategy	No	
private credit/non-bank lending strategy	No	
other	No	

7.5 Investment Management & Advisory Services in respect of Single Investor Vehicles, Segregated Managed Accounts and Family Offices	
This question focuses on investment structures and investment vehicles which may fall <u>outside</u> the definition of Fund.	
(a) Please confirm whether the marketing or provision of the following investment structures/investment vehicles will be caught by the rules applicable to the marketing/provision of Investment Management & Advisory Services in your jurisdiction OR whether other domestic fund or marketing/offering restrictions will apply: (i) a Single Investor Vehicle, which makes investments into financial instruments or assets. (ii) a Segregated Managed Account, which makes investments into financial instruments or assets. (iii) a family office undertaking, which makes investments into financial instruments or assets. If other restrictions or rules apply, please outline (briefly) the position under local law and outline the key exemptions (if any).	Yes. The marketing of investment structures/investment vehicles (i.e., single investor vehicle, segregated managed account, family office, etc.) has to be done in compliance with the Colombian Offshore Marketing Regime (i.e, Representative office or Correspondent Agreement (to the extent that the Investment Management & Advisory Service relate to securities market products e.g. interests in a Fund or other securities such as equities and debt securities)), unless an exemption (either the Reverse Enquiry Exemption or the Certain Entities Exemption) applies. Please see answer to section 6.2(d) above for a description of the Colombian Offshore Marketing Regime. Please refer to our answers to sections 5(a) and 5(b) above for more information on the conditions that must be complied with to apply the Reverse Enquiry Exemption. The Public Offering of Securities Restriction is not applicable to any of these vehicles.

8. MARKETING ACTIVITIES

Questions	Answers
The purpose of sections 5, 6 and 7 of Part B of this Memorandum is to identify to whom Funds or Investment Management & Advisory Services can be marketed or sold in your jurisdiction. This section 8 addresses particular requirements which may apply depending on how such products or services are marketed or sold. This section 8 also includes some questions on specific scenarios that may be relevant to an OFI in relation to its cross-border activities.	
8.1 Written Materials	
(a) Can marketing/selling of a Fund or Investment Management & Advisory Services to investors in your jurisdiction be conducted through the distribution of written marketing materials (whether by email or by physical delivery of documents)?	Any promotion activity of any type in relation to Funds or Investment Management & Advisory Services by the OFI (i.e., delivery of marketing materials, emails, calls, conducting meetings, advertisement campaigns, visits of employees of the OFI or people engaged in Colombia to conduct promotion/offering activities, etc.) must be undertaken in compliance with Colombian Offshore Marketing Regime (as described in Section 6.2(d)) or an applicable exemption. In addition, if the OFI is required to comply with the Public Offering of Securities Restriction in respect of the marketing/sale of interests in a Fund (as described in Section 6.2(d) also), additional marketing regulation applies unless the Private Offering Exemption applies. In this regard, any marketing material intended to be used for the advertisement of a public offering, must be previously delivered to the SFC. The SFC has 15 days to comment and/or request additional information. If the marketing/sale is being conducted pursuant to the Private Offering Exemption, then the written marketing materials should include the disclaimer referred to in section 8.1(b) below. Where promotion or advertising is conducted by the Representative Office or a local party to a Correspondent Agreement and not the issuer, then such parties, and not the issuer, shall be responsible for making such filings. As stated in Section 8.7, any marketing programme that is going to be implemented by the Representative Office must be submitted to the SFC along with the request for setting up the office. New programmes must be submitted for the SFC's approval. Please see section 8.7(a) for more information on this.
Please could you confirm whether your above response would apply to the following types of written marketing materials and, if applicable, note any particular considerations that would apply to that particular type of	

document:	
(i) offering memorandum (may also be referred to as the “private placement memorandum” or “information memorandum”);	The response provided in Section 8.1 (a) above applies to this type of written material. However, please note that if the OFI is required to comply with the Public Offering of Securities Restriction in respect of the product/service offered through the offering Memorandum (as described in Section 6.2(d) also), additional regulation applies to that offering memorandum.
(ii) marketing presentation (may also be referred to as the “pitch book” or “marketing deck”). Such presentations may include: • Investment strategy/philosophy/process • Biographies of key investment team members • Track record • Case studies of specific investments • Operational infrastructure/list of service providers terms	The response provided in Section 8.1 (a) above applies to this type of written material.
(iii) tear sheet (may also be referred to as the "fact sheet" or "profile") Such tear sheets may include: • A brief description of strategy • Summary statistics • Terms • Service providers For the purposes of this question, please assume that the tear sheet includes the name of the Fund(s).	The response provided in Section 8.1 (a) above applies to this type of written material. No, the analysis does not differ if the name of the Fund or service is included in the tear sheet.
(b) Is it recommended or mandatory to include certain disclaimers/warnings in the written marketing materials?	Yes, please refer to Section A of Appendix 1 and Appendix 2 to see the recommended disclaimer to be included in marketing materials of a Fund marketed pursuant to the Private Offering

If so, please specify which type of written marketing materials will require such a disclaimer/warning, e.g., the offering document, presentations, pitch books, emails? Please provide recommended wording in Section A of each of Appendix 1, Appendix 2 and Appendix 3 of this Memorandum, along with an indication of whether such wording is mandatory or recommended	Exemption, to avoid the Public Offering of Securities Restriction. In addition, see the language referred to in section 8.1(c) below.
(c) Are there rules regarding the form/content of written marketing materials (including as to how performance data should be portrayed)? Please also consider whether these rules distinguish between the type of investor that such materials will be presented to?	If marketing material is distributed by a Representative Office of the OFI in Colombia, it must bear the following wording: “[<i>name of the OFI</i>] <i>Oficina de Representación, Vigilada - Superintendencia Financiera de Colombia</i>”. As stated in Section 8.7, new marketing materials must be submitted for the SFC’s approval. Please see section 8.7(a) for more information on this.
(d) Does the regulator of your jurisdiction require the OFI to retain a record of the recipients of distributed marketing materials?	Yes, in the case that the OFI distributes marketing materials through a Representative Office. Please see section 8.1(c) above for information on when marketing programmes must be submitted for the SFC’s approval.
(e) Are there any other considerations that an OFI should bear in mind before disseminating written marketing materials in your jurisdiction?	Yes, please see 8.1(c) above for information on when marketing programmes must be submitted for the SFC’s approval.
8.2 Telephone	
(a) Can marketing/selling of a Fund or Investment Management & Advisory Services to investors in your jurisdiction be conducted through marketing by telephone?	Yes, so long as the OFI complies with the Colombian Offshore Marketing Regime or an applicable exemption and, in respect of Funds only, the Public Offering of Securities Restriction unless the Private Offering Exemption applies. OFIs should also note the Local Securities Restriction. Please see section 6.2(d) for more information.
(b) Do specific additional requirements or restrictions apply in respect of cold calling of such investors?	No. However, it should be noted that as cold calling will fall outside the conditions necessary for the Reverse Enquiry Exemption, the OFI must either (unless it can avail of the Certain Entities Exemption): (i) set up Representative Office in Colombia or (ii) enter into a Correspondent Agreement with a local stock broker dealer firm or a local financial corporation (available only for the promotion of securities market products or services i.e. Funds or Investment Management & Advisory Services relating to participation in Funds or other securities) otherwise cold calling is prohibited.

(c) Is it recommended or required to make certain oral disclaimers/warnings during the course of the telephone call? If so, please describe the requirements that apply. Please also provide recommended wording in Section B of each of Appendix 1, Appendix 2 and Appendix 3 of this Memorandum.	No. It is advisable to record any telephone conversations. According to Colombian regulation only written advertising material should include the disclaimer set out in Appendix 1.
(d) Are there any other considerations that an OFI should bear in mind before conducting telephone calls with prospective investors in your jurisdiction? For example, is it mandatory that such telephone calls be recorded?	No.
8.3 Fly-In Meetings	
(a) Can marketing/selling of a Fund or Investment Management & Advisory Services to investors in your jurisdiction be conducted through a Fly-In Meeting? This would include a roadshow where specific information regarding the Fund and/or Investment Management & Advisory Service is presented/discussed.	Yes, so long as the OFI complies with the Colombian Offshore Marketing Regime (unless an exemption applies) and, in the case of interest in a Fund only, the Public Offering of Securities Restriction unless the Private Offering Exemption applies. This would also include a roadshow or other Fly-In Meeting where specific information regarding the Fund and/or Investment Management & Advisory Service is presented or discussed, as such activity would be treated as marketing/selling for these purposes. OFIs should also note the Local Securities Restriction. Please see section 6.2(d) for more information.
(b) Are there any particular considerations that an OFI should bear in mind before conducting Fly-In Meetings with prospective investors? For example, is there a risk that frequent Fly-In Meetings may trigger some local licensing or regulatory requirements?	No.
8.4 Fly-Out Meetings	
(a) Do the licensing and regulatory requirements of your jurisdiction continue to apply to any marketing activities in connection with Funds and Investment Management & Advisory Services which take place at a Fly-Out Meeting?	No. However, any inducement with a Colombian resident in Colombia to invite them to attend Fly-Out Meetings may be deemed a marketing activity subject to the Colombian Offshore Marketing Regime, and therefore the OFI needs to comply with the requirements described in our answer to sections 8.1(a) (and 6.2(d)) above.
(b) If the answer to section (a) above is “no” , are there any courses of action which could result in the requirements of your jurisdiction having extra-territorial effect? For example, would it be possible for	No.

the OFI to induce the resident to leave your jurisdiction to attend a meeting in an offshore office of the OFI without triggering the application of the licensing and regulatory restrictions in your jurisdiction?	
8.5 Internet/Social Media	
(a) Please outline the requirements in your jurisdiction which apply to a webpage which is targeted towards investors located in your jurisdiction (e.g., by writing it in the language of your jurisdiction or by sponsoring links generated when internet users in your jurisdiction search for particular terms via a search engine).	If the webpage specifically targets investors located in Colombia, so that the information provided on the webpages is directed at Colombian residents (e.g. by reference to Colombia and its currency on the website), the OFI is required to comply with the Colombian Offshore Marketing Regime described in our answer to section 6.2(d) above, as well as with the Public Offering of Securities Requirement, if applicable (i.e., marketing via web page of interests in Fund targets more than a 100 individuals or entities). OFIs should also note the Local Securities Restriction. Please see section 6.2(d) for more information.
(b) Does your jurisdiction impose requirements/restrictions in respect of webpages which have not been targeted towards investors in your jurisdiction, but which are accessible from your jurisdiction?	No. The mere fact that the webpage is in Spanish, does not mean that the webpage per se is addressed to Colombian residents.
(c) If the answer to section (b) is “yes”, what steps could an OFI take to reduce the regulatory risk in your jurisdiction as regarding marketing materials posted on non-targeted webpages ? For example, by requiring an investor or potential investor to verify suitability through acceptance of a disclaimer , provide confirmation that he is not located in your jurisdiction, by making the pages password protected or through use of a secure portal to regulate information available to users?	N/A. The use of check boxes/passwords to access webpages may be useful as a mechanism to prevent targeted webpages directed to residents in Colombia, even though such mechanism is not recognized by regulation to achieve the purpose described herein.
(d) Please outline any requirements in your jurisdiction which apply to marketing activities which take place via social media (e.g. blogs, X Corp (formerly known as Twitter), social networks (Facebook, LinkedIn), forums or photo/video-sharing platforms (e.g. YouTube, Instagram)) and which are targeted towards investors located in your jurisdiction e.g. (i) posts are written in the language of your jurisdiction or have direct relevance to investors in your jurisdiction or (ii) adverts are sponsored to appear on the user pages of investors based in your jurisdiction? Please can you consider if activities on	Please refer to answer to section 8.1(a) (and further detail at section 6.2(d)) above, as the same requirements apply to marketing activities targeted to specific investors in Colombia via social media. What triggers a public offering is defined by law. It occurs when there is an offer to buy or sell securities that is directed to more than 99 individuals or to an indefinite group of people. A direct message to an investor or a post that can be viewed by many users of the platform in our jurisdiction might be considered as a public offering if it includes an offer to buy or sell

social media would be treated differently if they were conducted by means of a direct message to an investor in your jurisdiction as opposed to a post that can be viewed by many users of the platform including an investor in your jurisdiction.	securities that is directed to more than 99 individuals or to an indefinite group of people.
(e) Does your jurisdiction impose requirements/restrictions in respect of social media content which has not been targeted towards investors in your jurisdiction but is nevertheless accessible from your jurisdiction?	No.
(f) Please set out any practical advice which OFIs should follow in order to reduce the regulatory risk in your jurisdiction regarding marketing activities conducted via social media . For example, is it recommended that all posts contain either the full recommended disclaimer or is it ok to include a link to such disclaimer instead? On (X Corp (formerly known as Twitter), is the use of images a possible solution to the problem of character limitation e.g. by posting a disclaimer as an attachment to a tweet?	Full text of the recommended disclaimers as set out in Appendixes 1 and 2, sections A and C should be included to avoid application of Public Offering of Securities Requirement when marketing/selling Funds pursuant to the Private Offering Exemption. In the case of a tweet a short disclaimer with the main features will be ok.
(g) Are there any legends, risk factors, disclosures and disclaimers which are required or recommended by local counsel for inclusion in webpages and/or social media which contain marketing materials relating to Funds and/or Investment Management & Advisory Services and which may be accessed by investors located in your jurisdiction?	Please refer to the answer to 8.5(f).
(h) Please outline (or cross-refer) to any licensing/regulatory requirements in your jurisdiction which apply to virtual events/meetings (e.g., online web/video conferences/channels) involving marketing/selling activities relating to Funds and/or Investment Management & Advisory Services conducted with investors in your jurisdiction (e.g., virtual roadshows, presentations or promotional events).	The existing regulation does not differentiate in-person or virtual/remote activities of promotion and advertising, therefore virtual events or meetings are considered as acts of promotion and advertising. Without the proper license, or applying an exemption, no OFI can't offer to Colombian residents the option to have online we/video conferences/channels nor promote to Colombian residents' virtual roadshows, presentations, or promotional events.
(i) Is it recommended or mandatory to include certain disclaimers/warnings in the materials presented/disseminated by means of virtual events/meetings relating to Funds and/or	Please refer to the answer to 8.1(b) and 8.1(c).

Investment Management & Advisory Services?	
8.6 General Marketing	
(a) Please set out or cross-refer to any licensing and regulatory restrictions which may apply to general marketing by an OFI in your jurisdiction as follows: (i) general brand marketing that comprises the use of the OFI's corporate name, logo, slogan or design scheme; (ii) providing general information about the OFI (e.g. history, business divisions, key persons); (iii) publishing articles/giving interviews e.g., thought leadership pieces or macroeconomic analysis/market outlook; and (iv) general marketing materials which refer to awards/customer testimonials. Does the analysis depend on the type of investor that is targeted e.g. Professional Investor, Retail Investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	(a) (i) The Colombian Offshore Marketing Regime is applicable as described in answer to question 8.1(a) (and further described in 6.2(d)) above unless the Certain Entities Exemption applies. It also applies to Fly-In-Meetings or any type of remote activity, as long as promotion is directed to Colombian residents. The Public Offering of Securities Restriction does not apply. (ii) Please refer to the answer 8.6(a)(i) above. (iii) Publishing articles and research papers can be published by the Fund and/or in specialized publications but cannot be used / given / sent to Colombian Residents as part as advertising and promotional activities. (iv) Please refer to the answer 8.6(a)(iii) above. The above-mentioned applies indifferently to Professional and Retail Investors. OFIs should also note the Local Securities Restriction. Please see section 6.2(d) for more information.
(b) Please set out or cross-refer to any licensing and regulatory restrictions which may apply to general marketing which involves general awareness-raising of product lines or service lines including discussion of general strategies (but without reference to a specific Fund or Investment Management & Advisory Service). Does the analysis depend on the type of investor that is targeted e.g., Professional Investor, Retail Investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	(b) Same answer as (a) above. Note that the Colombian Offshore Marketing Regime is applicable unless the Certain Entities Exemption applies. It also applies to Fly-In-Meetings or any type of remote activity, as long as promotion is directed to Colombian residents. Discussing the particular characteristics of a Fund is not the condition that triggers the Public Offering of Securities Restriction, but rather if the Fund (duly identified with a name) is offered to more than 100 individuals or entities. This applies indifferently to Professional and Retail Investors. It also applies to Fly-In-Meetings or any type of remote activity, as long as promotion is directed to Colombian residents.
(c) Please set out or cross-refer to any licensing and regulatory restrictions which may apply to general marketing which involves	Same answer as (a) above.

discussions which refer to particular <i>characteristics</i> of a Fund or Investment Management & Advisory Service (e.g. investment strategies or ideas) without referring to the name of the relevant Fund or Investment Management & Advisory Service? An example of this type of marketing would include a tear sheet which while it may not include the name of the relevant Fund or Investment Management & Advisory Service, may include a brief description of strategy, terms, summary statistics (e.g., relating to AUM, performance, risk) and/or a list of key service providers. Does the analysis depend on the type of investor that is targeted e.g., Professional Investor, Retail Investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	
(d) Are there any rules regarding the form/content of written marketing materials which contain the type of information referred to in 8.6(c) above e.g., tear sheets/snapshots of marketing presentations that do not refer to the name of the Fund?	Yes. A non-finance event conducted by an OFI does not need to comply with the Colombian Offshore Marketing Regime.
(e) Are there any licensing or regulatory restrictions which may apply when an employee of an OFI: (i) attends a finance-related event in your jurisdiction; or (ii) is a speaker at a finance-related event in your jurisdiction and discusses general trends/themes rather than a specific Fund/IMAS?	Mere attendance by an employee of an OFI at a finance-related event in Colombia or speaking at a finance-related event in Colombia and discussing general trends/themes should not, by itself, trigger licensing or regulatory restrictions, provided that the employee does not undertake promotion of offshore products and services. If that employee undertakes marketing efforts, whether while attending a finance-related event in Colombia or while acting as a speaker at such event, the Colombian Offshore Marketing Regime becomes applicable. Assuming that the employee discusses general trends and themes and does not promote offshore products or services then in our opinion this would not trigger licensing or regulatory restrictions.
(f) Are there any restrictions in relation to solely socialising with prospective investors in your jurisdiction?	No. Solely socialising with prospective investors in Colombia should not, by itself, trigger licensing or regulatory restrictions, provided that the interaction does not involve promotion of offshore product or services. If the OFI or its representatives undertake marketing efforts in the context of such social interaction, the Colombian Offshore Marketing Regime becomes applicable.
(g) Are there any restrictions in relation to solely distributing business cards (paper or electronic)? Does the analysis depend on the type of investor that is targeted e.g.,	If in distributing business cards there is any type of specific product's marketing, the Colombian Offshore Marketing Regime becomes applicable. As explained above, this does not depend on the type of investor that is targeted. It also applies to Fly-In-Meetings or any type of remote

Professional Investor, Retail Investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	activity, as long as promotion is directed to Colombian residents.
(h) Is it recommended or mandatory to include certain disclaimers/warnings in any general marketing materials presented/disseminated?	If marketing material is distributed by a Representative Office of the OFI in Colombia, it must bear the following wording: “[name of the OFI] Oficina de Representación, Vigilada Superintendencia Financiera de Colombia”. As stated in Section 8.7, new marketing programmes must be submitted for the SFC’s approval. Please see section 8.7(a) for more information on this. If no funds/services are referenced specifically, then no special wording will be necessary since the Colombian Offshore Marketing Regime will not be applicable.
8.7 Pre-Marketing	
(a) Is it permitted to conduct any “pre-marketing” activities in respect of a Fund in your jurisdiction to assess investor appetite either: (A) before committing to any registration/notification/approval/licensing requirements; or (B) during the relevant registration/notification/ approval/licensing process? If so, please could you provide a definition of what would amount to permitted “pre-marketing” of a Fund.	There are no existing exemptions in the Colombian Offshore Marketing Regime that permit “pre-marketing” activities as defined in this question. Therefore, these activities are considered prohibited under Colombian regulation. If no exemption to Colombian Offshore Marketing Regime applies to the Fund, no marketing or promotional activities can be carried out without the authorisation to set up a Representative Office given by the SFC, or the authorisation of the marketing programmes given by the SFC. According to Colombian regulation, the OFI must obtain prior authorization from the SFC to develop campaigns aimed at promoting and/or advertising the represented entity and its services in Colombia. The OFI must submit to the SFC for its prior authorization, the promotional and/or advertising programs the OFI they intend to use in Colombia in compliance with the requirements set out in the SFC's checklist. Please find the link here. (note that this link is only available in Spanish). These programmes may include examples of the advertising materials that are going to be used but is not mandatory to attach them. The programs must include, among other things, the channels to be used, the places/channels/offices where the publicity is going to be displayed (in general terms). Please note, as set out in section 10 that the authorization is granted with respect to the promotion and advertisement plans and not with respect to the particular marketing documentation or media part of such plans, as the regulations understand that particular

	marketing material may change on a daily basis in accordance with specific products or services.
(b) Where “pre-marketing” of a Fund is permitted in your jurisdiction, please could you outline the types of marketing activities which would fall within the scope of such permitted “pre-marketing”, distinguishing if relevant between:	N/A
(i) the types of materials that can be circulated (e.g., presentations, offering documents, subscription documents);	N/A
(ii) the status of the Fund (e.g., whether established or still under formation);	N/A
(iii) whether the documents are in draft or final form ;	N/A
(iv) any specific “ pre-marketing ” activities to avoid on the basis that these will trigger the relevant requirements; and	N/A
(v) any other relevant considerations in your jurisdiction (e.g., number or type of investor to whom the “pre-marketing” is done).	N/A
(c) Are there any registration/notification/approval /licensing requirements which apply in respect of the OFI conducting pre-marketing of a Fund in your jurisdiction?	N/A
8.8 Investment Advice	
(a) Is it permitted for an OFI to provide Investment Advice in relation to a Fund or Investment Management & Advisory Services to an investor in your jurisdiction and, if so, on what basis? In preparing your answer, please ensure that your analysis covers the following (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	Yes. An OFI may provide Investment Advice in relation to a Fund or Investment Management & Advisory Services, but it has to comply with the Colombian Offshore Marketing Regime. However, if the interests, participation units or shares in the Fund are registered in the RNVE and therefore negotiated or listed in Colombia or are foreign securities listed on a Colombian exchange, such Investment Advice can only be rendered to investors (regardless of whether they are potential clients or unsolicited clients) by a local securities intermediary (i.e., local stockbroker dealer). Where this restriction applies, the Colombian Offshore Marketing Regime

	will not apply.
(i) available exemptions which permit the provision of Investment Advice. If an exemption is available, please set out the criteria which must be satisfied in order to utilise it. Please comment on both formal “ black-letter law ” exemptions and accepted practice .	The Reverse Enquiry Exemption, as explained in 5(a) above, and the Certain Entities Exemption, as explained in 6.2(d) above.
(ii) the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining whether the provision of Investment Advice is permitted (e.g., investor is incorporated, domiciled, has employees in your jurisdiction).	For a definition of investors in Colombia, please refer to answer to section 6.2(d) above.
(b) any sensitivities depending on whether the investor is a potential or an existing client or whether such investor solicited the Investment Advice or not.	The criteria for complying with the Reverse Enquiry Exemption, as explained in 5(a) above, should be observed, regardless of whether or not it pertains to a potential or an existing client.
(c) Does the regulatory regime in your jurisdiction applicable to the marketing/provision of Investment Advice extend to advice in relation to portfolio construction and/or manager selection ? If not, please could you briefly outline how the marketing/provision of advice in relation to portfolio construction/manager selection is regulated in your jurisdiction, if at all.	No, provided that those services are not considered to be a financial or securities market service according to Colombian regulation. It is important to keep in mind that the regulatory regime applicable to the marketing/provision of Investment Advice applies only to advice provided over financial or securities market products or services and not to administrative services provided by the OFI or the Fund itself.
8.9 Arranging	
(a) Is it permitted for an OFI to provide Arranging services in relation to a Fund or Investment Management & Advisory Services with an investor in your jurisdiction and, if so, on what basis? In preparing your answer, please ensure that your analysis covers the following (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	Yes. An OFI may provide Arranging services but has to comply with the Colombian Offshore Marketing Regime. However, if the interests, participation units or shares in the Fund are registered in the RNVE and, therefore, negotiated or listed in Colombia or are foreign securities listed on a Colombian exchange, such Arranging services can only be rendered to investors (regardless of whether they are potential clients or unsolicited clients) by a local securities intermediary (i.e., local stockbroker dealer). Where this restriction applies, the Colombian Offshore Marketing Regime will not apply.
(i) available exemptions which permit the provision of Arranging. If an exemption is available, please set out the	The Reverse Enquiry Exemption, as explained in 5(a) above, and the Certain Entities Exemption,

criteria which must be satisfied in order to utilise it. Please comment on both formal “ black-letter law ” exemptions and accepted practice .	as explained in 6.2(d) above.
(ii) the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining whether the provision of Arranging is permitted (e.g., investor is incorporated, domiciled, has employees in your jurisdiction).	For a definition of investors in Colombia, please refer to answer to section 6.2(d) above.
(b) any sensitivities depending on whether the investor is a potential or an existing client or whether such investor solicited the Arranging or not.	The criteria for complying with the Reverse Enquiry Exemption, as explained in 5(a) above, should be observed, regardless of if it pertains to a potential or an existing client.
8.10 Subscription Documentation and Relationship Management	
Section (a) to (c) below look at scenarios relating to the provision by an OFI to an investor of either: • Fund subscription documentation; or • contracts relating to the provision of Investment Management & Advisory Service(s). In relation to sections (a) to (c) please can you briefly describe any relevant restrictions or considerations that apply or, if relevant, please cross-refer to other sections of the Memorandum. Are the below scenarios are permitted?	
(a) The OFI provides/sends: • Fund subscription documentation; or • a contract relating to the provision of Investment Management & Advisory Service(s)	It is permitted that the OFI provides/send this documentation to a potential client so long as it complies with the Colombian Offshore Marketing Regime or does so relying on either the Reverse Enquiry Exemption or the Certain Entities Exception.

to a potential investor:	
(i) where the OFI and the investor are <u>both</u> in your jurisdiction (e.g., at a Fly-In Meeting); or	Please see Section 8.9 (a) above.
(ii) where the OFI is <u>outside</u> your jurisdiction, but the investor is <u>in</u> your jurisdiction (e.g., the OFI sends the documentation via email/post).	Please see Section 8.9 (a) above.
(b) The: • Fund subscription documentation; or • a contract relating to the provision of Investment Management & Advisory Service(s) is signed:	
(i) where the relevant signatories for <u>both</u> parties are <u>in</u> your jurisdiction (e.g., at a Fly-In Meeting); or	Both parties may be in Colombia and sign the subscription documentation of a Fund or a contract relating to the provision of IMAS as long as the OFI had complied with the Colombian Offshore Marketing Regime when promoting such product/service or had done so relying on either the Reverse Enquiry Exemption or the Certain Entities Exception. In any case, please note that if the OFI has either set up a Representation Office or entered into a Correspondent Agreement, the OFI itself not the Representation Office or the Correspondent must sign the subscription documentation of a Fund or a contract relating to the provision of IMAS, regardless of the jurisdiction where they do it. In this regard, please see Section 10 (c) below.
(ii) where the relevant signatories for the Fund or provider of the Investment Management & Advisory Service are <u>outside</u> your jurisdiction but the investor is <u>in</u> your jurisdiction (e.g., the signed documents are transmitted between the parties via email/fax/post/courier).	Please see Section 8.9 (b) (i) above.
(c) Will the location where documentation is signed by either party as described in either section (b)(i) or (ii) above affect whether the contract is deemed “booked” in your jurisdiction?	No.

(d) This question 8.10(d) focuses on relationship management and/or investor relations activities, which are conducted between an OFI and an investor once such investor has invested in a Fund and/or engaged the OFI to provide an Investment Management & Advisory Service.

Such activities would, for example, involve the OFI:

- **updating** the investor on its **existing investments**; and/or
- providing **account statements**, transaction reports or periodic reports to the investor.

Please **confirm** whether an OFI would be permitted to conduct such relationship management/investor relations activities:

- on a **cross-border basis**; or
- **at a Fly-In Meeting** in your jurisdiction.

Alternatively, please describe any relevant restrictions or considerations that apply, if relevant cross-referring to other sections of the Memorandum.

For the purposes of this question, please presume that the marketing/selling activities that underpin the relationship between the OFI and the investor were conducted pursuant to permitted means in your jurisdiction and/or were conducted in another jurisdiction before the investor re-located to your jurisdiction. Please also presume that the relationship management/investor relations activities will not involve any further marketing/selling of other funds/services outside the scope of the existing relationship.

An OFI is able to make and maintain any ongoing relationships with investors once an investor has invested in a Fund and/or engaged the OFI to provide IMAS provided that any activities comply with the Colombian Offshore Marketing Regime.

Secondly, where an investor approached the OFI directly via the Reverse Enquiry Exemption, the OFI will be able to maintain an ongoing relationship with such investor without having to comply with the Colombian Offshore Marketing Regime.

Pursuant to the Colombia Offshore Marketing Regime, the OFI will need to enter into a correspondent agreement or open up a representative office in Colombia to maintain directly any relationship with an investor, unless the Certain Entities Exemption applies. In practice this exemption is quite narrow.

8.11 Requests for Proposals (RFPs)	
This question 8.11 looks at the scenario where an OFI is asked to respond to a request for proposal, request for information or similar process (an RFP) from an investor in your jurisdiction.	
(a) Please could you outline whether there are any registration/notification/approval/licensing requirements which apply where an OFI responds to an RFP in respect of a Fund from an investor in your jurisdiction? If appropriate, please cross-refer to other sections of the Memorandum in your response.	There are no registration/licensing requirements of any type regarding an RFP.
(b) Could the activity of responding to an RFP regarding a Fund fall within the scope of permitted "reverse-enquiry"/"reverse-solicitation" in your jurisdiction?	Yes. The Reverse Inquiry Exemption is regulated in such a way under Decree 2555 of 2010 that it is possible to include the scope of the RPFs.
(c) Please could you outline whether there are any registration/notification/approval/licensing requirements which apply where an OFI responds to an RFP in respect of an Investment Management & Advisory Service from an investor in your jurisdiction? If appropriate, please cross-refer to other sections of the Memorandum in your response.	Please refer to answer 8.11(a) above.
(d) Could the activity of responding to an RFP regarding an Investment Management & Advisory Service fall within the scope of permitted "reverse-enquiry"/"reverse-solicitation" in your jurisdiction?	Yes. Please refer to answer 8.11(b) above.
8.12 Relocation of Investor	
(a) What restrictions, if any, might apply where an OFI has an investor that invested in a Fund and/or that received the OFI's Investment Management & Advisory Services while the investor was in	There are no restrictions that apply to the situation described in the fact pattern. Communications regarding the services already agreed are valid and permitted under the Colombian Offshore

another jurisdiction, but that investor has now moved into your jurisdiction?	Marketing Regime. Please keep in mind that once the investor has moved to Colombian territory, in order for the OFI to promote or offer other financial products or services, it will be obliged to comply with the Colombian Offshore Marketing Regime applies or an exemption.
(b) Can the OFI continue to service that investor in respect of its original investment/relationship?	Yes. Please refer to answer given to 8.12(a).
(c) If the OFI wished to conduct further marketing activities in respect of that Fund or Investment Management & Advisory Service with that investor, what considerations would apply? If appropriate, please cross-refer to other sections of the Memorandum in your response.	The OFI would have to comply with the Colombian Offshore Marketing Regime or apply an existing exemption to it. Please refer to answer given to 8.12(a).
(d) Does the analysis depend on the type of investor that is targeted e.g., Professional Investor, Retail Investor etc?	No.
8.13 Activities with Distributors/Intermediaries	
The below questions (a) and (b) explore fact patterns where a distributor/intermediary is required/necessary. In section 6.2(d)(iv)(A) we ask you whether a distributor/intermediary is necessary in order to market/sell a Fund to the public. In section 7.1(d)(i)(A) we ask you whether a distributor/intermediary is necessary in order to market/sell a Fund pursuant to the potential private placement routes explored in section 7.1. Where your answers indicate that a distributor/intermediary is necessary in either (or both) of those scenarios, please can you address the scenarios set out below. In answering the below questions, please assume that the relevant distributor/intermediary in your jurisdiction has the necessary licence/authorisation to undertake the relevant distribution activities and that appropriate contractual provisions will be entered into with the distributor/intermediary governing the relationship. Please note that this question focuses on how activities may be undertaken with the distributor/intermediary. Where appropriate you may wish to cross-refer to requirements discussed elsewhere in this Memorandum regarding the requirements that apply to the Funds that will be marketed/sold (i.e. whether they need to be approved/registered in the jurisdiction and/or whether they need to fall within a particular route/exemption), but such requirements are not the focus of this question.	
(a) Please flag any practical considerations which an OFI may wish to consider in terms of establishing a relationship with a such distributor/intermediary e.g. whether there are requirements to consider as to how contact between the OFI and the distributor/intermediary based in your jurisdiction takes place and	Any materials provided to the distributor/intermediary for onward use with investors in Colombia should be consistent with the applicable Colombian securities and financial regulatory requirements, including the Public Offering of Securities Restriction and the Local Securities Restriction, as applicable. Please also see section 6.2(d) above. The only practical considerations that must be taken into account are that: (1) the only permitted counterparty counter parties are

regarding the provision of documents/information about the Fund to the distributor/intermediary.	local stock broker dealers or financial corporations, (2) the agreement which must be a correspondent agreement has to be authorized by the Colombian SFC. Promotion materials to be delivered to potential Colombian customers for offshore products and services must provide clear sufficient and truthful information, in order for the potential customer investor to make an informed decision.
(b) Please flag any practical considerations which an OFI may wish to consider in terms of interactions with potential investors once the distributor/intermediary has been appointed. Are there any practical considerations on how activities should be structured with the distributor/intermediary and/or with any potential investors.	Public: Once the distributor/intermediary has been appointed in connection with marketing/selling interests in a Fund to the public in Colombia, interactions with potential investors in Colombia should be structured so that the distributor/intermediary conducts the marketing/selling activities in Colombia within the scope of its licence/authorisation and the relevant contractual arrangements with the OFI. The OFI should avoid undertaking direct marketing/selling activities with potential investors in Colombia unless the applicable Colombian regulatory route permits such activities. In the case of interests in a Fund marketed/sold to the public in Colombia, the Public Offering of Securities Restriction and the Local Securities Restriction should be considered. Please see section 6.2(d) above. Private Placement: Once the distributor/intermediary has been appointed in connection with a private placement in Colombia, interactions with potential investors in Colombia should be structured so that the distributor/intermediary conducts the marketing/selling activities in Colombia within the scope of its licence/authorisation and the relevant contractual arrangements with the OFI. The OFI should avoid undertaking direct marketing/selling activities with potential investors in Colombia unless the applicable Colombian regulatory route permits such activities, including under the Colombian Offshore Marketing Regime or an available exemption. In the case of interests in a Fund marketed/sold through a private placement in Colombia, the Private Offering Exemption should be considered. OFIs should also note the Local Securities Restriction. Please see sections 6.2(d) and 7.1(d)(i)(A) above.
The below questions (c) and (d) explore fact patterns where a distributor/intermediary is permitted. In section 6.2(d)(iv)(B) we ask you whether a distributor/intermediary is permitted in order to market/sell a Fund to the public. In section 7.1(d)(i)(B) we ask you whether a distributor/intermediary is permitted in order to market/sell a Fund pursuant to the potential private placement routes explored in section 7.1. Where your answers indicate that a distributor/intermediary is permitted in either (or both) of those scenarios,	

please can you address the scenarios set out below.

It may be that an OFI wishes to work with a distributor/intermediary **as a means of addressing a regulatory restriction in your jurisdiction** (e.g. a firm licensing requirement) that the OFI would otherwise be caught by in connection with the marketing/selling activities in connection with a Fund. Alternatively it may be that an OFI is looking to appoint the distributor for **commercial/relationship reasons**.

In answering the below questions, please assume that the relevant distributor/intermediary in your jurisdiction has the necessary licence/authorisation to undertake the relevant distribution activities and that appropriate contractual provisions will be entered into with the distributor/intermediary governing the relationship.

Please note that this question focuses on how activities may be undertaken with the distributor/intermediary. Where appropriate you may wish to cross-refer to requirements discussed elsewhere in this Memorandum regarding the requirements that apply to the Funds that will be marketed/sold (i.e. whether they need to be approved/registered in the jurisdiction and/or whether they need to fall within a particular route/exemption), but such requirements are not the focus of this question.

(c) Please flag any practical considerations which an OFI may wish to consider in terms of **establishing a relationship** with such a distributor/intermediary e.g. whether there are requirements to consider as to how **contact** between the OFI and the distributor/intermediary based in your jurisdiction takes place and regarding the **provision of documents/information** about the Fund to the distributor/intermediary.

Please refer to answers above.

(d) This question focuses on **interactions with potential investors** once the distributor/intermediary **has been appointed**. Are there any practical considerations on how activities should be structured with the distributor/intermediary and/or with any potential investors.

Please note that once the correspondent agreement is in place and has been approved by the Colombian SFC the parties can coordinate to jointly or individually conduct the promotion of the offshore products and services that are subject matter of the correspondent agreement. It is common that since the local correspondent is liable for the information given to the potential Colombian clients the correspondent typically wants to participate in all meetings and contacts with Colombian potential investors.

9. [SECTION INTENTIONALLY LEFT BLANK]

10. LICENCE

Questions	Answers
If a licence is required in order to be able to engage in marketing/selling a Fund or Investment Management & Advisory Services, please explain in outline only :	If an OFI decides to open a Representative Office to comply with the Colombian Offshore Marketing Regime, it needs to obtain a licence with the SFC. Likewise, if the OFI enters into a Correspondent Agreement with a local stockbroker dealer or local financial corporation for the same purpose, it has to be previously authorised by the SFC to enter into that agreement.
(a) The type of licence that would be required;	
(b) What, if any, presence in your jurisdiction the OFI would need to establish in order to obtain the relevant licence, including:	
(i) any specific legal form requirements (e.g., a local company or a branch);	To comply with the Colombian Offshore Marketing Regime, the OFI does not need a local presence in Colombia. However, an OFI is able to open a Representative Office in Colombia, or enter into a Correspondent Agreement, following the procedure described in 10(c) below.
(ii) any requirement to list/register the local presence in a commercial registry or other local register;	The Representative Office (if opened) has to be registered as a commercial establishment in the Chamber of Commerce of the city where it is located.
(iii) any limitations regarding ownership of the local presence;	N/A
(iv) any substance requirements that apply to the local presence;	N/A
(v) any requirements regarding locally employed staff (e.g., minimum number of directors and/or employees, any qualification or notification requirements that apply in respect of such staff); and	N/A
(vi) indication of time period and approximate costs to set up/establish local presence;	The establishment of a Representative Office can last between 8 – 12 months from the time the documentation is filed before the SFC. The SFC will not require any kind of payments to study the request for opening a Representative Office. There are no cost or fee to be submitted to the SFC to file this request.
(c) An outline of the procedure involved in obtaining such licence	To establish a Representative Office in Colombia, the OFI must request the SFC authorization to

including an indication of the time it would ordinarily take to obtain such licence; and	obtain a Representative Office license. The request will be accepted or denied taking into account the good standing of the OFI, the degree of supervision it is subject to in its jurisdiction and the full compliance with all the requirements, documentation and additional queries or requisites requested by the SFC during the approval process. The filing before the SFC must contain the following documents, among others: good standing certificate; bylaws; authorization from the financial/securities supervision entity in the jurisdiction of the OFI to establish a Representative Office (if not required under foreign law, then a legal opinion by a law firm stating this fact); board resolution authorizing the Representative Office; business plan of the Representative Office; resolution of the board designating the legal representative of the Representative Office in Colombia; financial statements; anti money laundering guidelines. The same requirements to open a Representative Office are applicable when requesting authorization to enter into a Correspondent Agreement with a local stockbroker dealer or local financial corporation, but in addition the agreement has to be filed with the SFC. With respect to Correspondent Agreements, once the required documentation has been filed with the SFC (same information required for Representative Offices); said entity has 15 days to make its first comments and suggestions in regard to the agreement or the documentation submitted. If no comments or suggestions are made within said period of time, the Correspondent Agreement is understood to be authorised and the Correspondent and the OFI may initiate marketing activities. In practice, the time to get approval of a Correspondent Agreement is between 6 to 12 months. There is no online form available for an OFI to open a Rep Office in Colombia via internet. Nevertheless, there is a checklist publicly available with all the physical requirements to submit a request for opening a Rep Office before the SFC. Please find the link here. Please note that this link is only available in Spanish. <i>Permitted and Prohibited activities of Representative Offices and Correspondents</i> Permitted activities. The opening of a Representative Office or entering into a Correspondent Agreement gives a “license” to the OFI to perform certain activities linked to the promotion and advertisement of the offshore products and services in Colombia. As per Decree 2555, OFI may use Representative Offices and Correspondent Agreements to perform only the following activities: • To promote and advertise their services and products; • To deliver and receive from local clients any documentation linked to such products and services;
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| | <ul style="list-style-type: none"> • To provide advice to investors in connection with the risks linked to the services or products being offered by the OFI; • To disclose any information related to the services and products being offered; • To conduct collection activities, but abstain from receiving, any consideration derived from the services and products being offered, that local clients may owe to OFIs; • To perform advertisement campaigns of OFIs in Colombia, and; • To establish branch offices within the Colombian territory to promote the products and services of the OFI. <p>Prohibitions: In addition to the above, Decree 2555 also provides a list of certain activities that are expressly prohibited to the legal representative and employees of the Representative Offices and correspondents under Correspondent Agreements. As per Decree 2555, Representative Offices and Correspondent Agreements cannot, among other things:</p> <ul style="list-style-type: none"> • Execute, perform or carry out regulated activities in the jurisdiction of Colombia different than those expressly allowed to Representative Offices and Correspondents under Decree 2555; • Perform, directly or indirectly, transactions or operations that may be characterized as massive and customary solicitation of funds from the general public; • Make binding offers of the products or services promoted according to article 845 of the Colombian Code of Commerce; • Act as proxies of OFIs in order to enter into or execute any document linked to the products and services being offered in Colombia; • Execute and/or perform activities related to the closing, registration and final authorization of the products or services promoted in Colombia; • Receive, directly or indirectly, cash or securities from local investors in consideration for the services or products being entered into by the OFI (except for local parties of Correspondent Agreements which are allowed to deliver and receive cash, securities and complementary |
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	documentation of the securities and activities being offered in Colombia); • Bind itself, directly or indirectly, to buy, purchase, acquire, guarantee or take own positions on the services or products being promoted in Colombia; or • Provide financing to local clients in order to invest and/or enter into any transaction linked to the products or services that are promoted in Colombia. <i>Information Duties on a Representative Office</i> According to article 4.1.1.1.9 of Decree 2555, Representative Offices must expressly inform future investors and the public in general that the products and services promoted by them are rendered by the OFI. Additionally, each Representative Office must clearly illustrate the legal, financial, accounting, commercial and administrative conditions in which the OFI carries out its activities in its domicile; the responsibility the OFI undertakes in regard to the products and services offered; the main characteristics of the supervision made by the corresponding legal authorities over the OFI; whether the OFI has a deposit or product insurances to cover the activities or products promoted or advertised by the Representative Offices and its limitations; and the jurisdiction and applicable law of the services and products. Said disclosure should be made in all of the material and relevant documents delivered to the investors or could even be independent document solely prepared for such purpose. Additionally, the Representative Office will have to “request” (not necessarily obtain) a certificate from those Colombian residents to which promotion activities were addressed certifying the provision of the information mentioned above. Currently, there are no specific rules regarding the means in which Representative Offices should keep a record of the aforementioned duties. Each OFI must design suitable mechanisms to disclose this information to its clients in Colombia. The applicable regulation (section 1.10.2.1 of Chapter II, Title II, Part I of EC 029) only establishes that the fulfilling of the information and professional advice duties must be adequately documented, without specifying by which means. In the annual report that the Representative Office must provide to the SFC each year, the Representative Office has to mention the number of certificates that it has obtained from its prospective clients. <i>Advertisement regime</i> Representative Offices must have prior authorization from the SFC to develop public advertisement campaigns for any OFI within Colombia. For such purposes, the promotion and
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advertisement plan to be developed within Colombia and must be previously presented to the SFC for its authorization. Please see section 8.7(a) for more details on this requirement for prior authorization.

The SFC's authorization is granted with respect to the promotion and advertisement plans and not with respect to the particular marketing documentation or media part of such plans, as the regulations understand that particular marketing material may change on daily basis in accordance with specific products or services.

All marketing material delivered directly or indirectly, including telephone calls made to Institutional Clients must contain the following disclaimer: "*Promoción y publicidad de los negocios y servicios de [OFI] en Colombia – [OFI] Oficina de Representación, Vigilada - Superintendencia Financiera de Colombia*" ("*promotion and advertising of the business and services of [OFI] in Colombia [OFI] Representative Office, supervised by the Colombian Financial Superintendency.*"). This language is applicable to all kind of marketing material used to promote the Products and Services of the OFI to Colombian residents.

Please bear in mind that Decree 2555 defined marketing material as any communication or message, originated by an OFI, sent personally or by any means, either massive or individually, aimed at initiating, directly or indirectly, financial, reinsurance or securities market activities. As stated in Section 8.7, the marketing programme that is going to be used by the Representative Office must be submitted to the SFC along with the request for setting up the office.

New marketing programs or campaigns, different from the ones previously approved by the SFC, must be submitted for the SFC's approval. Please see section 8.7(a) for more information on this.

Annual Report of Representative Office

On a yearly basis (before March 31 of each year), the legal representative of a Representative Office, on behalf of the latter, must send via email to the SFC, a communication signed by the legal representative containing the following information:

- a. A report on the projects and activities of the previous year containing:
 - Description of the promoted services and products;
 - The number of complaints brought by clients to the Representative Office;

	- The full name and identification number of the persons acting as promoters or commercial agents of the Representative Office in Colombia, indicating in detail the functions and faculties conferred by the foreign financial institution to each of them. b. Information on the financial situation of the foreign financial institution which is available to the Representative Office or to the legal representative; c. Update on the general operations plan of the Representative Office; d. Number of certifications evidencing that the professional advisory duty has been complied with information of the foreign financial institution regarding the following matters: (i) Entity which exercises supervision over the foreign financial institution; (ii) Full name of the foreign financial institution; (iii) Main domicile; (iv) Address; (v) Fax number; (vi) Telephone number; (vii) Web page address; (viii) Full name of the persons designated to report the necessary information regarding the Representative Office; and (ix) Telephone number, fax, address, and email of the contact person. <i>Anti-Money Laundering Officer of the Representative Office.</i> Pursuant to External Circular 55 of 2016, which came into force on March 31st, 2017, a Representative Office must comply with the following obligations to avoid any connection to money laundering or terrorism activities (“AML”) in Colombia: i) A Representative Office must appoint an employee, as principal, with a substitute, in charge of designing, implementing and monitoring all activities of the Representative Office with the purpose of complying with AML obligations in Colombia. ii) The principal and substitute must be a person with legal and international knowledge of AML policies. iii) The principal and substitute must be appointed by the board of directors or the legal representative of the Representative Office. Once the principal and substitute are appointed, it is mandatory to inform the SFC within the following 15 days of the appointment. iv) The principal’s duties must include (i) the participation in the design and approval of the AML procedures, (ii) providing reports, at least once every six months, to the board of directors, (iii) suggesting to management the creation and updating of the AML procedure manuals and ensuring the adequate disclosure of such manuals to the employees and (iv)
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	ensuring compliance with the requirements of numeral 2 of article 102 of Decree 663.
(d) Please specify the approximate costs associated with obtaining such licence (please include initial application cost together with any ongoing fees).	None. There are no fees payable to the SFC nor to any public entity.

11. PENALTIES/SANCTIONS

Questions	Answers
(a) Is it the competent regulator that enforces the applicable laws and/or another body (e.g., the courts)?	The SFC is the competent body to enforce the Colombian Offshore Marketing Regime and the Public Offering of Securities Restriction and imposes administrative sanction to those entities and individuals breaching it. However administrative decisions issued by the SFC (<i>actos administrativos</i>) can be challenged before local courts.
(b) Do the possible legal consequences of a breach of applicable laws in relation to the cross-border marketing and sale of Funds and Investment Management & Advisory Services into your jurisdiction include:	
(i) criminal sanctions;	Yes. If as a consequence of the activities performed in Colombia the individuals or the representatives of the mentioned entities collect deposits/funds from the public, said conduct may be deemed a crime ⁸ . Criminal sanctions are applicable only to individuals.
(ii) other sanctions (e.g., fines, loss of licence, public censure);	Breaching the Colombian Offshore Marketing Regime, (i.e., lacking of licence or authorisation to promote products and services (in this case Funds and Investment Management & Advisory Services) in Colombia or to Colombian residents), entitles the SFC to declare that the activities carried out by the OFI constitute an illegal exercise of local financial activities under Colombian regulations. Furthermore, the SFC may disclose to the public via mass media the fact that the marketing activities performed by the OFI are (i) unauthorized, (ii) it is incurring in a breach of local regulations (iii) and recommend that all Colombian residents should refrain from engaging their offered products and services⁹. The SFC will be entitled to impose fines to those individuals or representatives of the foreign financial institution that perform promotional activities in Colombia.

⁸ In Colombia, the massive and recurrent solicitation of funds from the public is a felony punishable with up to 20 years in prison and a fine of up to 50,000 legal minimum monthly wages, as established in article 316 of the Colombian Criminal Code. Said article establishes that whoever develops, promotes, sponsors, encourages, finances, cooperates, or undertakes any action in order to raise money from the public in a customary and massive way without the authorities' previous authorization, will be subject to imprisonment for a term going from 120 months up to 240 months and to the imposition of fines going up to 50.000 legal minimum monthly wages. Additionally, the latest financial reform added article 316-A to the Criminal Code, seeking to further punish whoever raises illegally funds from the public and does not reinstate them.

⁹ Though this is not contained in the law, the SFC has published a couple of ads of this kind in the local media.

(iii) civil claims;	Yes, depending on the specific case and as long any Colombian resident experiences damages due to the sale of Funds and Investment Management & Advisory Services.
(iv) the transaction to which the activity relates becoming void or voidable (and if voidable, at whose instigation)?	Yes, which could be done through anyone's instigation, due to the fact that such transaction might be in breach of Colombian financial laws and regulations, specifically, of the Colombian Offshore Marketing Regime.
(c) Please provide details of maximum penalties (e.g., fines). Please state whether these sanctions are applicable to the OFI and/or to directors, officers or employees of the OFI and/or both.	According to Decree 2555 and to Decree 663 of 1993 – Colombian Financial Statute – (“EOSF” as per its acronym in Spanish), the breach of the Colombian Offshore Marketing Regime may result in sanctions from the SFC. However, those sanctions may vary depending on: (i) whether they are applied to a Colombian institution under the surveillance of the SFC or to the OFI; and (ii) whether they are applied to an institution or to an individual. If the OFI does not comply with the obligations of the Colombian Offshore Marketing Regime, it may be subject to sanctions and fines. These fines may be imposed for up to USD\$359,000¹⁰ approximately for legal entities and USD\$72,000¹¹ approximately for individuals, pursuant to Decree 663 of 1993. However, in our experience and after conducting thorough research, we have not found any sanctions or fines that were imposed on an OFI for promoting products and/or services to Colombian residents without the corresponding authorization. In practice, we believe the SFC would inform the authority of the jurisdiction of origin of the OFI that said institution is offering products in Colombia in breach of the Colombian Offshore Marketing Regime. Furthermore, we deem difficult for the SFC to impose sanctions and fines to the OFI considering that OFI is not subject to Colombian jurisdiction and probably has no assets in Colombia. However, if Services are promoted in Colombia or to Colombian residents without the proper authorization, the SFC will be entitled to declare that the activities carried out by OFI constitute an illegal exercise of local financial activities under Colombian regulations. Furthermore, the SFC may disclose to the public via mass media the fact that the marketing activities performed by the OFI are unauthorized, that the mentioned entity is in breach of local regulations and recommend that all Colombian residents should refrain from accepting their offered products and services. In our opinion, this could occur if the OFI promoted its products and services without the proper

¹⁰ In current Pesos and assuming an exchange rate of 3900 Colombian pesos per US dollar. GP Note: Updated to the approx. current exchange rate.

¹¹ In current Pesos and assuming an exchange rate of 3900 Colombian pesos per US dollar. GP Note: Updated to the approx. current exchange rate.

	authorization to Colombian Clients.
(d) Please provide the 5 most recent examples (from published reports) of the competent regulator or courts taking action against an OFI in respect of a breach of applicable laws in relation to the cross-border marketing or sale/provision of Funds and Investment Management & Advisory Services to investors in your jurisdiction.	There are no precedents of actions taken by the SFC or courts against an OFI in respect of a breach of the Colombian Offshore Marketing Regime when marketing Funds in Colombia.
(e) Please comment on: (i) the attitude of the regulator, courts or other body responsible for enforcement of the applicable laws; and (ii) any accepted or tolerated market practice .	Regulator and courts attitude depends on each case and the causes of breaching the law by the OFI or individual. Regulator and courts have been enforcing the law in order to preserve the financial sector stability in order to have a safe and sound system. In recent cases procedures and sanctions imposed by SFC have been in an objective basis if it considers there was an unlawful act of breach of law.

APPENDIX 1

DISCLAIMERS: OPEN-ENDED FUND

A: WRITTEN DISCLAIMERS

Where an OFI is relying on the Private Offering Exemption to the Public Offering of Securities Restriction it should include the following in the marketing materials of a Fund:

“The securities have not been, and will not be, registered with the Colombian National Registry of Securities and Issuers (Registro Nacional de Valores y Emisores) or traded on the Colombian Stock Exchange (Bolsa de Valores de Colombia). Unless so registered, the securities may not be publicly offered in Colombia or traded on the Colombian Stock Exchange.

This [prospectus] is for the sole and exclusive use of the addressee and it shall not be interpreted as being addressed to any third party in Colombia or for the use of any third party in Colombia, including any shareholders, managers or employees of the addressee.

The investor acknowledges that certain Colombian laws and regulations (including but not limited to foreign exchange and tax regulations) may apply in connection with the investment in the securities and represents that it is the sole liable party for full compliance therewith.”

Where an OFI is relying on the Private Offering Exemption to the Public Offering of Securities Restriction, it should include the following in any prospectus for the Fund:

“This [document] is for the sole and exclusive use of the addressee as a determined individual/entity and cannot be understood as addressed or be used by any third party, including but not limited to third parties for which the addressee can legally or contractually represent, nor any of its shareholders, administrators, or by any of the employees of the addressee. Any material to be delivered in Colombia or to any person located, domiciled, or established in Colombia, shall be for the sole and exclusive use of the recipient.

This [document] has not been and will not be filed with or approved by the Colombian Financial Superintendency or any other regulatory authority in Colombia. [Name of Firm] is not subject to the supervision of the Colombian Financial Superintendency. The issuance of the [interests in the Fund], its trading, and payment shall occur outside Colombia; therefore, the [interests in the Fund] have not been and will not be registered before the Colombian National Registry of Issuers and Securities ("RNVE" by its Spanish acronym), nor with the Colombian Stock Exchange. The delivery of this [document], any of its supplements, for each issue of [interests in the Fund] does not constitute a public offer of securities under the laws of Colombia. This [document] does not constitute and may not be used for, or in connection with, a public offering as defined under Colombian law and shall be valid in Colombia only to the extent permitted by Colombian law. Under Colombian regulations, any offering addressed to an undetermined number of recipients or to 100 or more named individuals or companies shall be deemed to be an offering to the public requiring the prior approval of the Colombian Financial Superintendency and listing on the Colombian National Registry of Issuers and Securities.

The [interests in the Fund] may not be solicited, publicly offered, transferred, sold, or delivered, whether directly or indirectly, to any individual or legal entity in Colombia. The addressee acknowledges the Colombian laws and regulations (including but not limited to foreign exchange and tax regulations) applicable to any transaction or investment made in connection with this [document] and acknowledges and represents that it is the sole responsible party for full compliance with any such laws and regulations. Additionally, Colombian investors are solely liable for conducting an investment suitability analysis as per their applicable investment regime.”

If marketing material is distributed by a Representative Office of the OFI in Colombia, it must bear the following wording:

“Promoción y publicidad de los negocios y servicios de [OFI] en Colombia – [OFI] Oficina de Representación, Vigilada - Superintendencia Financiera de Colombia”.

(Promotion and advertising of the businesses and services of [OFI] in Colombia – [OFI] Representative Office, supervised by the Colombian Financial Superintendency)

No additional wording is required where the OFI relies on the Certain Entities Exception.

Where the public offering of securities restriction is triggered, additional wording may be required by the SFC.

B: ORAL DISCLAIMERS

Not Applicable.

C: DISCLAIMERS – RETAIL INVESTORS

Please refer to Appendix 1.A.

D: DISCLAIMERS – MARKETING PASSPORT/MUTUAL RECOGNITION SCHEME

Not Applicable.

APPENDIX 2**DISCLAIMERS: CLOSED-ENDED FUND****A: WRITTEN DISCLAIMERS**

Please refer to Appendix 1.A. which applies equally to Closed-Ended Funds.

B: ORAL DISCLAIMERS

Not Applicable.

C: DISCLAIMERS – RETAIL INVESTORS

Please refer to Appendix 1.C. which applies equally to Closed-Ended Funds.

D: DISCLAIMERS – MARKETING PASSPORT/MUTUAL RECOGNITION SCHEME

Not Applicable.

APPENDIX 3

DISCLAIMERS: INVESTMENT MANAGEMENT & ADVISORY SERVICES

A: WRITTEN DISCLAIMERS

Not Applicable. Under no circumstance, (i) a Representative Office, (ii) a local intermediary via a Correspondent Agreement or (iii) a local entity under the Certain Entities Exception may provide management and advisory services to Colombian services.

If marketing material is distributed by a Representative Office of the OFI in Colombia, it must bear the following wording:

“Promoción y publicidad de los negocios y servicios de [OFI] en Colombia – [OFI] Oficina de Representación, Vigilada - Superintendencia Financiera de Colombia”.

(Promotion and advertising of the businesses and services of [OFI] in Colombia – [OFI] Representative Office, supervised by the Colombian Financial Superintendency)

No additional wording is required where the OFI relies on the Certain Entities Exception.

B: ORAL DISCLAIMERS

Not Applicable.

C: DISCLAIMERS – RETAIL INVESTORS

If marketing material is distributed by a Representative Office of the OFI in Colombia, it must bear the following wording:

“Promoción y publicidad de los negocios y servicios de [OFI] en Colombia – [OFI] Oficina de Representación, Vigilada - Superintendencia Financiera de Colombia”.

(Promotion and advertising of the businesses and services of [OFI] in Colombia – [OFI] Representative Office, supervised by the Colombian Financial Superintendency)

No additional wording is required where the OFI relies on the Certain Entities Exception.

APPENDIX 4**DISCLAIMERS: OTHER****A: GENERAL MARKETING DISCLAIMER**

Not Applicable. No special language is necessary, since no specific product or service is being promoted.

B: INTERNET DISCLAIMER

Internet disclaimer for X corp (formerly known as Twitter):

“Promoción y publicidad de los negocios y servicios de [OFI] en Colombia – [OFI] Oficina de Representación, Vigilada - Superintendencia Financiera de Colombia. La anterior no constituirá una Oferta Pública de Valores en Colombia.”.

(Promotion and advertising of the businesses and services of [OFI] in Colombia – [OFI] Representative Office, supervised by the Colombian Financial Superintendency). The following will not constitute a public offering of securities in Colombia.

C: VIRTUAL MARKETING - DISCLAIMER

Not Applicable. No special language is necessary.